



USC MASTER ARCHITECT'S AGREEMENT

University of Southern California

Agreement Between Owner and Architect

[Based on AIA Documents B141 and B151 –1997 Edition]

DATE: This Agreement is made as of [REDACTED], 20[REDACTED].

PARTIES: "OWNER"

UNIVERSITY OF SOUTHERN CALIFORNIA,
(a California non-profit corporation)

[Capital Construction Development

3434 South Grand Avenue, CDF

Los Angeles, CA 90089-3162

Attention:

Senior Project Manager

T: xxx.xxx.xxxx | C: xxx.xxx.xxxx | E: [REDACTED]@usc.edu

"ARCHITECT"

[REDACTED]
[REDACTED]

Attention:

T: [REDACTED] | C: [REDACTED] | E: [REDACTED]

California Architects License No. [REDACTED]

PROJECT: Architectural and Engineering Design Services including the preparation of Construction Documents:

[REDACTED]

Design through Construction Documents and construction administration for [REDACTED]

Commented [MK1]: Insert name, address and description of project.

Owner and Architect agree as follows:

ARTICLE 1 – ARCHITECT'S RESPONSIBILITIES

1.1 GENERAL

Architect agrees to perform during the term of this Agreement, each and every service enumerated herein and in the "Scope of Services" document attached to this Agreement as **Exhibit 1 ("Project Description and Scope of Services")** in accordance with the agreed upon "Milestone Dates for Performance" of Services attached hereto as **Exhibit 2 ("Milestone Dates for Performance")**. As further described herein and in the



contract between Owner and Contractor, the construction work ("**Work**") for the Project shall be performed by Contractor and its subcontractors as required by the instruments of service prepared by Architect and its consultants as detailed below, including Article 6, and pursuant to Contractor's means and methods of carrying out the Work. "**Services**" shall mean, collectively, Architect's Basic Services, the Additional Services (as those terms are defined below) and all other services performed or required to be performed by Architect.

1.2 OWNER'S SEPARATE CONSULTANTS

Owner, at its sole option, may retain a pre-construction services professional, construction manager, contractor or other consultants in connection with various phases of design and construction, including cost estimating and budget control, for this Project ("**Owner's Separate Consultants**"). Owner's Separate Consultants may be designated in **Exhibit 3** or, in writing, after execution of this Agreement. Owner's retention and use of Separate Consultants shall not in any way diminish or supersede Architect's responsibilities under this Agreement.

1.3 RELATIONSHIP OF THE PARTIES

Architect accepts the relationship of trust and confidence established with Owner by this Agreement, and covenants with Owner to cooperate with and coordinate its Services with Owner's Separate Consultants in protecting the interests of Owner. Architect shall use its best efforts to perform the Services in an expeditious and economical manner in accordance with the standard of care set forth in 2.1.5 below and, to the extent consistent therewith, in accordance with the interests of Owner and Owner's Budget for Construction Cost once established (as defined and detailed in Article 5 below).

Architect shall endeavor to promote harmony and cooperation among Architect, Owner, Owner's Separate Consultants, Contractor and other persons or entities employed by Owner for the Project.

1.4 ARCHITECT'S PERSONNEL

- 1.4.1 Architect's Project Representative. "**Architect's Project Representative**", as approved by Owner, is designated in **Exhibit 3**. Architect's Project Representative shall: (a) be actively involved throughout all phases of design and construction of the Project; (b) maintain oversight of the Project at all times; (c) have full authority to represent and act on behalf of Architect for all purposes under this Agreement; (d) supervise and direct the Services using his or her best skill and attention; (e) be responsible for the means, methods, techniques, sequences and procedures used for the Services; (f) adequately coordinate all portions of the Services; and (g) act as the principal contact with Owner and all contractors, consultants, engineers and inspectors on the Project.

- 1.4.2 Architect's Key Personnel. In addition to Architect's Project Representative, Architect represents to Owner that certain additional key personnel, approved by Owner and



designated in **Exhibit 3** will perform Services required by this Agreement (such designated personnel referred to herein as “**Key Personnel**”). Owner may at any time elect to add job categories to Architect's Key Personnel list. Key Personnel shall devote as much of their time to the Project as may be appropriate to and consistent with full and timely performance of the Services by Architect. Architect agrees that the Key Personnel shall not be removed from their responsibilities on this Project without the prior written consent of Owner, except in the event of death, disability or departure from the employment of Architect. In the event, however, that any Key Personnel should become unavailable, due to Project suspension, death, disability, or departure from the employment of Architect, any subsequent Key Personnel selected by Architect for this Project must receive prior written approval by Owner. Such approval by Owner shall not be unreasonably withheld.

- 1.4.3 Architect's Consultants. Architect has the option, unless Owner reasonably objects in writing, to employ, at its expense, consultants qualified and licensed to render all or a portion of the Services in connection with the Project (such consultants employed by Architect referred to herein as “**Consultants**”). Although Architect may delegate certain Services to its Consultants, Architect shall remain jointly and severally liable and responsible for all Services required under this Agreement. Architect shall retain, at a minimum, those Consultants designated in **Exhibit 3** to perform Services. Whenever it is necessary for Architect to employ additional Consultants or substitute designated Consultants, Architect shall obtain Owner's prior written consent. Architect shall enter into written agreements with the Consultants and in the agreements, require each Consultant to assume all applicable terms and conditions of this Agreement pursuant to the standard of care set forth in Section 2.1.5 below and in compliance with all Applicable Law. Further, Architect shall require each Consultant to provide a breakdown and back-up for all Services and costs that it incurs each month that will be included in Architect's invoices to Owner. Owner shall have the right, but not the obligation, to request, review and accept or reject the form and substance of Architect's contracts with its Consultants and sub-consultants. Consultants hired by Architect shall meet the insurance requirements set forth in Article 12 herein and their contracts shall not contain any waiver or limitation of liability unless approved by Owner in writing. Each Consultant contract is hereby assigned by Architect to Owner, provided that the assignment is effective only after termination of this Agreement by Owner and only for those Consultant contracts that Owner accepts by notifying the Consultant in writing.
- 1.4.4 Changes in Architect's Project Representative, Key Personnel and Consultants. The Services provided by Architect are deemed to be personal services. Architect understands and acknowledges that its selection by Owner was, in part, based on Architect's Project Representative, Key Personnel and Consultants designated in **Exhibit 3**. Architect shall not make changes to Architect's Project Representative, Key Personnel or Consultants or reduce their responsibilities for this Project without the prior written approval of Owner. Should circumstances beyond the control of Architect result in changes to any individual or entity so designated, Architect shall submit the credentials



of Architect's proposed replacement for Owner's approval. If Owner determines, in its sole discretion, that the performance of any person or entity employed by Architect is unsatisfactory, then at the written request of Owner, Architect shall remove, reassign or replace such individual or entity without additional cost to Owner and such individual or entity shall not be reemployed on the Project without the prior written approval of Owner.

1.4.5 Qualifications and Licenses. Services furnished by or on behalf of Architect shall be performed by persons or entities: (a) qualified to perform the Services assigned to them; (b) licensed to practice their respective trades or professions, where required by law; and (c) committed to assume professional responsibility within the standard of care set forth in Section 2.1.5 for the design documents, calculations and Project Documents (as defined below) prepared or furnished by them. Architect's Project Representative, Key Personnel and Consultants shall be experienced in projects of similar nature and complexity to the subject Project and shall be approved by Owner in writing prior to their assignment to the Project.

1.4.6 Suitability of Services and Cooperation.

1.4.6.1 Architect shall, upon request of Owner, provide all Project Documents, including, without limitation, all calculations, data, charts, and other information of any type whatsoever which support the Services performed by Architect or its Consultants. Neither Architect nor its Consultants may refuse to provide Project Documents on the grounds the information is proprietary.

1.4.6.2 Architect is aware and agrees that Owner has the right to submit the Project Documents of Architect and its Consultants to independent reviewers. Architect agrees to fully cooperate, and to contractually secure the agreement of its Consultants to cooperate with such reviewers and to respond to comments made by such reviewers as Owner deems appropriate. Architect's obligation to cooperate includes responding in an objective professional manner to requests for information of such reviewers, entering into a dialogue with the reviewer regarding the comments of the reviewers and modifying or supplementing the Project Documents as may be determined by Owner in its reasonable discretion.

1.4.6.3 Owner may disapprove Services, Project Documents or Architect's invoice charges, if, in its reasonable discretion, the Services, Project Documents or charges do not conform with the requirements of this Agreement, acceptable practices, or are impractical, uneconomical, ineffective or unsuited in any way for the purpose for which Architect is retained. If Owner disapproves any Services, Project Documents or charges, then Architect shall immediately revise the Services, Project Documents or charges to meet Owner's approval. Owner reserves the right to withhold or deny compensation for unacceptable Services, Project Documents or charges.



1.4.6.4 Owner has the right, but not the obligation, to disapprove or override Architect's decisions on matters affecting aesthetics, function, cost or timing of construction of the Project. Accordingly, Owner shall have the right, but not the obligation, to disapprove any portion of Architect's Services or Project Documents if, in Owner's opinion, the Services or Project Documents (a) are inconsistent with Owner's objectives for aesthetics or functional needs, or (b) provide for or would result in a Construction Cost, (as defined below) or time for construction are unacceptable to Owner or likely to render the Project infeasible. In such event, Architect shall proceed, when requested by Owner, with revisions to its Services or Project Documents necessary to bring the Project into compliance with Owner's needs. These revisions will be made without adjustment to the compensation provided for herein if the revisions are caused, in whole or in part, by the acts, errors or omissions of Architect or its Consultants. Architect shall notify Owner in writing and receive approval from Owner before proceeding with any revisions. If Architect fails to undertake such revisions within a reasonable time so as not to cause delay to the Project, then, in addition to its remedies under contract or law, Owner shall have the right to retain others to complete such revisions and withhold the cost of such corrective services from payments then or thereafter due Architect under this Agreement.

1.5 TIME

1.5.1 Phased Delivery. Time is of the essence for performance of the Services required by this Agreement. Architect's Basic Services, shall commence upon Owner's issuance of an initial written Notice to Proceed and shall conform to the Schedule for Performance of Services attached hereto as **Exhibit 2**. The initiation of each of the Phases of Services described herein, by Architect will commence upon receipt of a written authorization from Owner's Representative authorizing Architect to proceed with such Phase to the extent of such written authorization. Owner may direct Architect to initiate phased issuance of Drawings and Specifications (as defined below) to facilitate phased bidding and construction of the Work, in which case multiple phases of Services may proceed concurrently. If Additional Services are required to proceed concurrently with multiple phases of Basic Services, the Parties shall determine the basis for any additional compensation to Architect pursuant to the Additional Services provisions of this Agreement.

1.5.2 Schedule. Milestone Dates for the deliverables and performance of Services of Architect and its Consultants, and Owner's target project dates are included in **Exhibit 2**. The Schedule for Basic Compensation for each phase of Services is detailed in Section 11.1. The Milestone Dates in **Exhibit 2** shall be used by Architect to prepare a comprehensive schedule ("**Schedule**") for review and acceptance by Owner. Architect shall update the Schedule regularly to reflect the status of the Project. The Schedule and any updates thereto shall include, but be limited to the following: (a) the period within which Architect agrees to complete performance of each phase of its Basic Services; (b) the periods of time allowed for Owner-supplied information and services; (c) the periods of time required for reviews and approvals by public authorities having jurisdiction over the



Project; (d) the periods of time for coordination of design documents; and (e) the periods of time for review of Shop Drawings, RFI's (as defined below) and other Submittals (as defined below). Architect shall timely respond to Shop Drawings, RFI's and other Submittals within the time periods detailed in Sections 2.6.8 and 2.6.10, below. Notwithstanding the foregoing, in performing its Services under this Agreement, Architect shall not deviate from the Schedule without prior written authorization by Owner. Whether or not deviations from the Schedule have been authorized by Owner, Architect shall submit updates to the Schedule as necessary to reflect Owner's approved changes or unavoidable deviations, indicating probable impacts of those deviations on the performance of Architect's Services and the construction Work of the Project. Nothing in this Agreement shall be construed as a waiver of Owner's right to obtain compliance by Architect with the Milestone Dates attached hereto as **Exhibit 2**.

1.5.3 Excusable Delay. Any delays in Architect's Services caused by the following shall be grounds for extending the time for performance of Services impacted by such delays: (a) the actions of Owner or its employees; (b) the actions of those in direct contractual relationship with Owner; (c) the actions of any governmental agency having jurisdiction over the Project; (d) the actions of any Parties not within the reasonable control of Architect; (e) any civil unrest, insurrection, natural disaster or other act of God, war conditions, governmental regulations or actions, embargo, fire, floods, earthquakes ("**Force Majeure**"); or (f) other unforeseen occurrences not due to any fault or negligence on the part of Architect all of which, by Architect's exercise of due diligence, could not have been avoided (each, an "**Excusable Delay**"). Owner shall not be liable to Architect for costs or damages, liquidated or otherwise, on account of any Excusable Delays. Architect shall, within ten (10) calendar days after the beginning of any alleged Excusable Delay (unless Owner in writing grants a further period of time to file such notice), notify Owner in writing of the alleged Excusable Delay and request a time extension supported by information sufficient to substantiate the request. Owner will then ascertain the facts and the extent of the alleged Excusable Delay, and determine whether or not it indeed constitutes an Excusable Delay, and, if so, whether or not to grant an extension of time for Architect's performance of the Services; Owner shall grant an extension of time for Architect's performances of Services in the event of an Excusable Delay if, in weighing the circumstances of such Excusable Delay, Owner determines in its sole judgment that the circumstances justify such an extension. Extensions of time shall apply only to that portion of Services affected by the Excusable Delay and shall not apply to other portions of the Services not so affected. The sole remedy of Architect for Excusable Delays shall be an extension of the deadlines in the Schedule to the extent impacted by the Excusable Delay at no cost to Owner. If Additional Services are caused by an Excusable Delay, the Parties shall determine the basis for any additional compensation to Architect pursuant to the Additional Services provisions of this Agreement.

1.5.4 Extraordinary Measures. If Owner determines that the performance of the Services has not progressed or reached the level of completion required by the accepted Schedule, then



Owner shall have the right to order Architect to implement corrective measures within ten (10) calendar days of Owner's written demand, to expedite the progress of Services, including, without limitation, (a) working overtime, and/or (b) supplying additional personnel or Consultants or other similar measures (hereinafter referred to collectively as "**Extraordinary Measures**"). Such Extraordinary Measures shall continue until the progress of the Services complies with the deadlines required by the accepted Schedule. Architect shall not be entitled to an adjustment in compensation in connection with the Extraordinary Measures required by Owner pursuant to this Section 1.5.4 if such Extraordinary Measures are caused, in whole or in part, by the acts, errors or omissions of Architect or its Consultants. Owner may exercise its rights to order Extraordinary Measures as frequently as Owner deems necessary to ensure that Architect's performance of Services will comply with the Schedule. If Architect fails to implement or commence Extraordinary Measures within ten (10) calendar days of Owner's written demand, Owner shall have the right to exercise such remedies under contract or law as Owner deems appropriate including, but not limited to, terminating Architect for cause.

ARTICLE 2 – SCOPE OF ARCHITECT'S BASIC SERVICES

2.1 GENERAL

- 2.1.1 **Basic Services.** Architect's Basic Services consist of those services described herein and in **Exhibit 1**, except those services specifically identified as Additional Services or the services of others. Architect's Basic Services shall include, without limitation, normal civil, structural, mechanical and electrical engineering services, landscape architecture and special systems consultants and any other design services which are normally or customarily furnished and reasonably necessary for the Project. Collection and evaluation of all information regarding the scope of the Project and existing conditions, to the extent required by Architect to execute its Services shall be included in the Basic Services to be provided by Architect, except as otherwise provided in this Agreement.
- 2.1.2 **Owner-Supplied Information and Design Delegation.** Those portions of the design that are Owner-supplied services or that Architect intends to delegate to the Contractor or trade subcontractors are identified in Article 4 and in **Exhibit 1**. Architect shall be permitted to delegate design responsibility only with the advance written authorization of Owner of the specific component of the design. As to any portions of the design that Architect delegates to individuals and entities other than its designated Consultants, Architect shall specify, in the Construction Documents (as defined below), appropriate performance and design criteria that such services must satisfy and the qualifications and experience necessary to perform such design services. Architect shall review the work product of such delegated design for conformity to the design and performance criteria prepared by Architect, and shall ensure that the delegated design – whether in the form of reports, Drawings, Specifications or shop drawings or submittals or as-builts – is



integrated and coordinated with the Project Documents, Construction Documents, and Record Drawings.

2.1.3 **Integration and Coordination.** Consistent with the standard of care set forth in Section 2.1.5 below, Architect shall be responsible for the complete integrated and coordinated Project design and for the coordination of all Drawings prepared by Architects and Architect's Consultants, Specifications, and Project Documents relating to the design and used on the Project, regardless of whether such Project Documents are prepared by Architect, Consultants, Owners or others. Architect shall coordinate design documents during all phases of Services. Architect shall be responsible for coordination and internal checking of all Drawings and for the accuracy of all dimensional and layout information contained therein, as fully as if each Drawing were prepared by Architect except Owner provided geo-technical information and project survey(s). Architect shall be responsible for the completeness and accuracy of all Drawings, Specifications and documents submitted by or through Architect and for the compliance with all Applicable Law (as defined below). Architect shall coordinate with Owner regarding Owner-supplied systems and design and include in Architect's Construction Documents all Work to be provided by Contractor.

2.1.4 **Applicable Law.**

2.1.4.1 **Knowledge and Compliance.** Architect and its Consultants shall keep fully informed of and comply with all applicable local, state and federal laws, rules and regulations in any manner affecting the performance of the Services or affecting the Project ("**Applicable Law**"), and shall give all notices required of Architect by Applicable Law. Architect shall be liable for all violations of Applicable Law made in connection with its Services that constitute a breach of the standard of care set forth in Section 2.1.5 below. Architect shall indemnify and hold Owner, its officials, officers, employees, and its consultants free and harmless from any claim or liability to the extent caused by the negligent failure to comply with Applicable Law.

2.1.4.2 **Drawings, Specifications, and Revit with Linked AutoCAD Documents.** Architect shall cause all graphic and pictorial documents showing the design, location and dimension of the Work ("**Drawings**") provided in AutoCAD and Revit with linked AutoCAD ("**Revit Linked Models**") documents and written requirements for materials, equipment, systems, standards and workmanship for construction of the Work ("**Specifications**") including but not limited to the Construction Documents to conform to Applicable Law, in effect as of the time the Drawings and Specifications are prepared or revised during the Construction Documents phase of the Services described herein. Architect has a duty to monitor changes to Applicable Laws and to promptly advise Owner of any changes that potentially may impact the Project. Any substantial revisions to the Drawings and Specifications made necessary by legislative enactment of new laws or changes in Applicable Law after the Construction Documents phase may be compensated as Additional Services. Architect shall cause the necessary copies of such



Drawings and Specifications to be filed with any governmental bodies with approval jurisdiction over the Project.

2.1.4.3 **Drawings.** All CAD drawings shall be prepared in accordance with the University of Southern California CAD Drawing File and Layering Standards attached hereto as **Exhibit 5**. The medium for transmittal of all CAD files shall be the latest version of "AutoCAD". If included in **Exhibit 1, Scope of Services**, drawings shall be prepared in accordance with University Record Revit Model as indicated in **Exhibit 5**.

2.1.4.4 **Americans with Disabilities Act.** Pursuant to the standard of care set forth in Section 2.1.5 below, Architect will interpret all Applicable Law with respect to accessibility matters for the Project, including those of the Americans with Disabilities Act of 1990 ("ADA") and as contained in the California Code of Regulations. Owner acknowledges and understands, however, that the ADA is subject to various and possibly contradictory interpretation. Furthermore, compliance may involve factors beyond the control of Architect including, but not limited to, Owner's use and operation of the completed Project.

2.1.4.5 **Permits, Approvals and Authorizations.** Throughout all phases of Services, Architect shall inform Owner in writing of all permits, filings, approvals or other authorizations required for the Project from all federal, state or local governmental bodies with approval jurisdiction over the Project. Architect shall be responsible for processing all permits, collaborating with and assisting Owner and Owner's Separate Consultants, if any, in obtaining prompt issuance of all such permits, approvals and other authorizations required for the Project including, but not limited to, obtaining a final certificate of occupancy or similar final certificate unless otherwise provided in **Exhibit 1**. The costs of such permits, approvals and other authorizations shall be paid by Owner.

2.1.4.6 **Project Management Information System (PMIS).** Architect shall comply with Owner's PMIS Requirements as described in **Exhibit 11** for using a web-based system for Project collaboration and data tracking among Project team members during the life of the Project.

2.1.4.7 **Project Substantial Completion and Closeout.** Architect shall comply with procedures and policies for the Construction Documents in accordance with Owner's Substantial Completion and Close Out Requirements included in **Exhibit 6**.

2.1.5 Standard of Care.

2.1.5.1 **General.** By execution of this Agreement, Architect hereby represents, warrants and covenants the following: (a) that it has the professional experience and skill to perform the Services required hereunder; (b) that it shall perform the Services in a manner consistent with that degree of skill and care ordinarily exercised by similarly situated members of Architect's profession; (c) that it shall comply with all Applicable Laws in performing its Services under this Agreement, including but not limited to all



professional registration (both corporate and individual) for all required basic disciplines; (d) that it shall perform the Services in accordance with generally accepted professional standards and in an expeditious and economical manner; (e) that it shall maintain sufficient capital assets and shall be adequately financed to meet all financial obligations it may be required to incur hereunder; and (f) that it shall provide and employ in connection with the performance of Services personnel qualified and experienced in their profession, it being understood that Owner may at any time require Architect to remove, and Architect shall forthwith remove, any individual or entity employed in connection with the performance of the Services.

2.1.5.2 Correction of Errors and Omissions. If, at any time during the performance of its Services or during the maximum period permitted by Applicable Law after completion of the Project, it is discovered that Architect or any of its officers, directors, agents, subcontractors, employees, or Consultants has committed any negligent act, error, omission, willful misconduct, fraud, or has failed to meet the warranties, representations and agreements contained herein and the aforementioned standard of care (collectively, "**PL Fault**"), which has caused or will cause otherwise unnecessary additional expense to Owner, then Architect shall, at Owner's request, promptly make all necessary corrections, bear any and all additional expense and costs associated with the correction of same and perform all necessary Services to resolve such PL Fault. Correction of a PL Fault shall include, but not be limited to, additional architectural and engineering services, design documentation, travel, demolition, removal, relocation, manufacture, fabrication, inspection, construction, testing and installation, irrespective of whether originally performed by Architect, Owner, or a third party. Owner's acceptance or approval of or payment for Services or Project Documents furnished by Architect shall not relieve Architect from the obligation to correct subsequently discovered PL Fault. Nothing herein shall be construed as placing responsibility on Architect for costs that Owner would have been responsible for regardless of said PL Fault.

2.1.6 Meetings and Meeting Minutes. Throughout all phases of Services, Architect shall attend meetings with Owner, Owner's Separate Consultants, contractors and governmental agencies as reasonably necessary to perform Architect's Services. Architect shall be responsible for providing meeting minutes during the design phase of the Project. Architect shall record in the meeting minutes significant discussions, agreements, disagreements and action items. Architect shall distribute the draft meeting minutes to everyone concerned, within two (2) days of the meeting. Architect shall issue amended minutes addressing issues and incorporating comments submitted in writing by attendees to everyone concerned by the next meeting for weekly meeting minutes or within two (2) days of receiving comments from Owner for less frequent meetings.

2.1.7 Cost Estimating and Budget. At intervals appropriate to the progress of Schematic Design, Design Development, Construction Documents and Bidding and Negotiation phases of Services, or as indicated in **Exhibit 1** or **Exhibit 2**, Architect shall collaborate



with Owner's Separate Consultants and perform cost estimating services described in Article 5.

- 2.1.8 Value Engineering. At intervals appropriate to the progress of Schematic Design, Design Development, Construction Documents and Bidding and Negotiation phases of Services, or as indicated in **Exhibit 1** or **Exhibit 2**, Architect shall conduct "value engineering" alternatives for all major building design elements, structural and mechanical systems, using a consulting team consisting of Architect and its Consultants, Owner, and Owner's Separate Consultants, to assist Owner in achieving its objectives concerning aesthetics, function, Construction Cost and time for completion of the Work. Factors that Architect will consider include site use, selection of building systems and materials. Particular attention shall be given to alternative design proposals, possible economics and identification of options that will maximize benefits to Owner. Architect shall offer and consider the value engineering suggestions, and shall provide Owner with a written evaluation of the appropriateness of comments by Owner's Separate Consultants. This evaluation shall include comparative costs and benefits of alternative materials and systems and issues relating to pragmatism, end-user needs, budget, function and aesthetics.
- 2.1.9 Office of Foreign Assets Contract ("OFAC"). Architect represents that it is either a United States citizen, permanent resident alien, entity organized under the laws of the United States or its territories, or entity having its principal place of business within the United States or its territories (collectively, a "U.S. Person"). Architect and its Consultants are not now, and shall not at any time during the term of this Agreement, be individuals, entities, or governmental agencies with whom a U.S. Person may not transact business of the type contemplated by this Agreement under any applicable state or federal laws, including lists administered by the U.S. Treasury Department's Office of Foreign Assets Control or otherwise.

2.2 SCHEMATIC DESIGN PHASE

- 2.2.1 Initial Review. Upon receipt of Owner's written authorization, Architect shall review the architectural program/Scope of Services in **Exhibit 1** furnished by Owner to ascertain the requirements of the Project and shall arrive at a mutual understanding of such requirements with Owner. This mutual understanding shall be reflected in a written document which shall be prepared and submitted by Architect within fifteen (15) calendar days after the commencement of the Schematic Design Phase; such document shall include, without limitation, the following components: the size and elements of the Project, a preliminary site plan, and the intended function(s) and the relationship to adjacent areas and buildings.
- 2.2.2 Schematic Design Documents. Based upon the initial review and mutual understanding reached as to the Owner's Program (as defined below), schedule and Owner's Budget for Construction Cost (as defined below), the Architect shall prepare, for approval by Owner, Schematic Design Documents consisting of drawings and other documents illustrating the



scale and relationship of project components. These Schematic Design Documents shall include: alternative building system and component options including building envelope, structural, mechanical and electrical systems with corresponding energy consumption and life cycle cost analysis; conceptual site and building plans; preliminary sections and elevations; development of approximate dimensions, areas and volumes; and perspective sketches, concentrating on exterior styles and design.

2.2.3 Interim Reviews. At intervals appropriate to the progress of the Schematic Design Phase and otherwise agreeable to Owner, Architect shall meet with Owner and Owner's Separate Consultants for review and approval of the schematic design studies and other documents that depict the current status of Schematic Design Documents, and other relevant data and information necessary to allow Owner to evaluate, critique and review the content of the design. As part of these interim reviews, Architect shall evaluate Owner's Program, schedule and budget for Construction Cost requirements and review these requirements, each in terms of the other and with alternative approaches to design and construction. Architect shall provide Owner with written reports detailing the substance of and actions recommended by the reviews.

2.2.4 Final Schematic Design and Building Commissioning Review.

2.2.4.1 **Schematic Design Review.** Upon completion of the Schematic Design Phase, Architect shall submit Design Intent and Basis of Design Documents to Owner. The Schematic Design Documents shall provide a detailed narrative depiction of the architectural, civil, structural, mechanical, electrical, plumbing systems, landscape and interior design elements, design criteria ideas and alternative concepts described in **Exhibit 1** and shall include a summary of all the information produced by Architect in performing the Services described in Section 2.2 herein. The Basis of Design Documents shall contain the information necessary to accomplish the Design Intent including, but not limited to, indoor and outdoor design conditions, thermal characteristics of the structure, occupancy use, heating and cooling loads of various zones, systems diversity, noise and vibration criteria, energy use and energy efficiency goals. Further, Architect shall submit to Owner chipboard massing models, plans, including typical floor plans, elevations, other relevant drawings, data and information, of appropriate scale, media type and colors specified by Owner, necessary for Owner to evaluate, review and comment regarding the overall progress and content of the design. Architect shall provide analysis of the current/updated preliminary estimates of Construction Costs prepared in accordance with Section 5.2; any changes in Owner's Budget for Construction Costs; value engineering proposals and schedules for the remaining design and construction. Architect shall provide written evaluations of Owner's Program, schedule and Owner's Budget for Construction Costs, alternative approaches to design and construction of the Project, review of governmental community and utility requirements and a copy of the final Schematic Design Documents in a reproducible format and in the latest versions of CAD and Revit and compatible with Owner's computer programs. This review shall be an integral part of the approval process for the Schematic Design Phase. If the preliminary



estimate of Construction Cost or any adjustment thereto exceeds Owner's Budget for Construction Costs, Architect shall, at its sole cost and expense, revise and adjust the design to conform to Owner's Budget for Construction Costs. Owner shall review these documents together with the Design Intent and Basis of Design Documents and other materials and provide comments to Architect. Architect shall consider the comments offered at this review and provide Owner with a written response and evaluation of these comments. Architect may not proceed into the Design Development Phase without receiving written approval from Owner of the Schematic Design Documents.

- 2.2.4.2 **Building Commissioning Review.** Owner's Separate Consultants shall assemble templates for building systems subject to commissioning and validating procedures. Upon completion of the Schematic Design Phase, Architect shall review and analyze these templates and provide written comments to Owner and its Separate Consultants.

2.3 DESIGN DEVELOPMENT PHASE

- 2.3.1 **Design Development Documents.** Upon receipt of Owner's written authorization and based on the Schematic Design Documents approved by Owner in writing, Architect shall prepare, for review and approval by Owner, Design Development Documents consisting of drawings, an estimate of Construction Costs, as detailed in Sections 5.2 through 5.2.3 below and in **Exhibit 1**, and other documents to establish final scope, relationships, forms, size and appearance of the Project. The Design Development Documents shall: include plans, sections and elevations, typical construction details, 3-dimension sketches, final material selections and equipment layouts; establish basic structural systems and dimensions, final structural design criteria and preliminary sizing of major structural components; coordinate critical clearance requirements; include outline specifications and material lists, finishes and colors; establish approximate mechanical equipment sizes and capacities, preliminary layouts, required space, chases and clearances, acoustical and vibration control, visual impacts and energy conservation measures; establish criteria for lighting, electrical and communications systems, approximate sizes and capacities of major components, preliminary equipment layouts, required space, chases and clearances; and establish the final scope and preliminary details for on and off-site Work.
- 2.3.2 **Interim Reviews.** At intervals appropriate to the progress of the Design Development Phase, and agreeable to Owner, Architect shall meet with Owner and Owner's Separate Consultants for review and approval of the documents that depict the current status of Design Development Documents, and other relevant data and information, necessary to allow Owner to evaluate, critique and review the level of coordination, overall progress and content of the design. As part of these interim reviews, Architect shall evaluate Owner's Program (as defined below), schedule and Owner's Budget for Construction Costs and review these requirements, each in terms of the other and with alternative approaches to design and construction. Architect shall provide Owner with written reports detailing the substance and actions recommended by the reviews.



- 2.3.3 Tests. Architect shall advise Owner of any need for, or advisability of, Owner's securing any tests, analyses, studies, reports, or consultants' services in connection with the development of the design and Construction Documents for the Project.
- 2.3.4 Energy Analysis. As part of Architect's Basic Services, Architect and its Consultants shall conduct a cost/benefit analysis of all energy consuming systems, and all proposed energy conservation measures shall demonstrate a minimum potential seven (7) year payback.
- 2.3.5 Final Design Development and Building Commissioning Review.
- 2.3.5.1 **Design Development Review**. Upon completion of the Design Development Phase, Architect shall submit to Owner drawings, outline specifications and such other documents as Owner may require, for its review and approval, including, at least: a written review of the structural, mechanical and electrical systems; selection of materials and finishes (including color boards and samples for all finish items); studies of structural framing and details; background floor plans with dimensioned structural grids; delineation of all major equipment required for the Project and identification of any anticipated long lead-time items; analysis of the current/updated preliminary estimates of Construction Costs prepared in accordance with Section 5.2 below; any changes in Owner's Budget for Construction Costs; value engineering proposals and schedules for the remaining design and construction. This review shall be an integral part of the approval process for the Design Development Phase. If the preliminary estimate of Construction Costs or any adjustment thereto exceeds Owner's Budget for Construction Costs, Architect shall, at its sole cost and expense, revise and adjust the design to conform to Owner's Budget for Construction Costs. Owner shall review the Design Development Documents and provide comments to Architect. Architect shall consider the comments offered at this review and provide Owner with a written response and evaluation of these comments. Architect may not proceed into the Construction Documents Phase without receiving written approval from Owner or Owner's Representative of the Design Development Documents.
- 2.3.5.2 **Building Commissioning Review**. Architect shall coordinate with Owner's Separate Consultants to develop criteria for tests to be included in the Construction Documents which will be performed during construction specifically to determine if major mechanical and electrical systems, when completed, will operate as required by the contract documents for construction. The review shall entail the review of comments provided by Owner. Architect shall consider the comments offered at this review and provide Owner with a written response and evaluation of these comments.



2.4 CONSTRUCTION DOCUMENTS PHASE

2.4.1 Construction Documents.

2.4.1.1 Based upon the Design Development Documents approved by Owner in writing and also upon any further adjustments in the scope or quality of the Project or in Owner's Budget for Construction Costs authorized by Owner in writing, Architect shall, upon Owner's written authorization, prepare, for review and approval by Owner, Construction Documents consisting of Drawings and Specifications setting forth in detail the requirements for the construction of the Project in accordance with the requirements of Owner's Program and Applicable Laws including final structural, mechanical, electrical and civil engineering calculations. In the event of a conflict between the requirements of Owner's Program and Applicable Law, the more stringent requirements shall prevail.

2.4.1.2 Architect agrees and acknowledges that Owner may require Architect to issue 100% complete Construction Documents for designated portions of the Work in a sequential manner to enable fast-track construction and/or phased bidding and award of trade contracts. Architect shall assist Owner and Owner's Separate Consultants in the preparation of the necessary bidding information, bidding forms and contract documents for construction of the Work and any separately designated portions of the Work.

2.4.1.3 **Interim Reviews.** At intervals appropriate to the progress of the Construction Documents Phase and further at the 90% level of completion of the Construction Documents unless stated otherwise in **Exhibit 1** or **Exhibit 2**, Architect shall meet with Owner for review and approval of documents that depict the current status of the Construction Documents and other relevant data and information, necessary to allow Owner to evaluate, critique and review the level of coordination, overall progress and detailed content of the design. As part of these interim reviews, Architect shall evaluate Owner's Program, schedule and Owner's Budget for Construction Costs and review these requirements, each in terms of the other and with alternative approaches to design and construction. Architect shall provide Owner with written reports detailing the substance of and actions recommended by these meetings. This review shall be an integral part of the approval process for the Construction Documents Phase. Architect shall submit the Construction Documents to the local Building Department and for plan check and shall make all corrections noted. If the Construction Documents estimates of Construction Cost or any adjustment thereto exceeds Owner's Budget for Construction Costs, Architect shall, at its sole cost and expense, revise and adjust the design and its Services to conform to Owner's Budget for Construction Costs.

2.4.2 Final Construction Documents and Building Commissioning Review.

2.4.2.1 **Construction Documents Review.** Upon completion of the Construction Documents Phase, or designated portion thereof, Architect shall submit to Owner for review by Owner and Owner's Separate Consultants the final Construction Documents, setting forth, in detail, the complete Work to be constructed including materials, workmanship,



finishes and equipment required for all building systems, site work and demolition, utility connections, telecommunication data lines, landscape/hardscape and fixed equipment. Owner will submit to Architect written comments with regard to the Construction Documents and Architect shall incorporate these comments into the design after consultation with Owner for final approval. The final Construction Documents must be in such form as will enable Owner to secure the required permits and approvals required by Applicable Law from governmental agencies having jurisdiction over the Project and to obtain, by competitive bidding or negotiation, bids within Owner's Budget for Construction Costs.

- 2.4.2.2 **Building Commissioning Review.** Upon completion of the Construction Documents Phase, Architect shall participate in a building commissioning review with Owner and Owner's Separate Consultants. Architect shall prepare specifications for inspections and tests, describing all submittals, reports, scheduling, the scope and criteria for acceptance of all building commissioning tests, coordination, and closeout procedures, which will be performed during construction specifically to help determine if the major mechanical and electrical systems when completed will operate as required by the contract documents for construction. The review shall entail the review of comments provided by Owner. Architect shall consider the comments offered at this review, and provide Owner with a written evaluation of the appropriateness of these comments and reach consensus on the final content of the Specifications.

2.5 BIDDING OR NEGOTIATION PHASE

- 2.5.1 **Commencement and Services.** Upon receipt of Owner's written authorization, and following Owner's written approval of the Construction Documents and of the latest approved estimate of Construction Cost, Architect shall assist Owner in obtaining bids or negotiated proposals and assist in awarding and preparing contracts for construction.
- 2.5.2 **Bidding Packages.** Architect agrees and acknowledges that Owner may require Architect to issue bidding packages for designated portions of the Work in a sequential manner to enable fast-track or phased construction.
- 2.5.3 **Cost Review.** If the lowest responsible bid or proposal solicited by Owner for the Project, or designated portion of the Work, exceeds Owner's Budget for Construction Costs (or such designated portion thereof), or the latest Owner-approved Construction Cost estimate (or such designated portion thereof), Architect's responsibilities are described in Article 5 herein.

2.6 CONSTRUCTION ADMINISTRATION PHASE

- 2.6.1 **Duration.** Architect's responsibility to provide Basic Services for the Construction Administration Phase shall commence with the award of the initial contract for construction of the Work (the "**Contract for Construction**"), or a portion thereof, and terminate ninety (90) calendar days after Notice of Substantial Completion of the Work,



unless otherwise set forth in the **Exhibit 2**. If the construction time is extended or exceeded beyond the time allocated therefor in the original Schedule in **Exhibit 2** through no fault of Architect, Architect's compensation shall be equitably adjusted for any additional services required as a result of such time being extended.

- 2.6.2 Partnering. As part of Architect's Basic Services and at the discretion of Owner, Architect's Key Personnel and Consultants shall attend partnering workshops, to be provided by Contractor. The purpose of these sessions is to facilitate coordination and team-building with all of the parties involved in the Project. Owner and Contractor will split the cost for the partnering facilitator, and each participating organization, such as Architect, major Subcontractors and consultants, shall contribute the time their own participants expend in attending the partnering workshops.
- 2.6.3 General Conditions. Architect shall provide administration of the Contract for Construction as set forth in this Section 2.6.

ALTERNATE WORDING FOR FULL TIME ARCHITECT AT SITE: 2.6.3 General Conditions. Architect shall provide administration of the Contract for Construction as set forth in this Section 2.6. For that purpose, Architect shall provide sufficient organization, personnel and management to carry out the Basic Services requirements of this Agreement during the Construction Administration Phase in an expeditious and economical manner consistent with the interests of the Owner. The Architect shall provide administrative, management and related services to endeavor to coordinate the activities of the Contractors with each other and with those of the Owner and the Architect to complete the Project in accordance with the latest approved estimate of Construction Cost, the Project construction schedule and the contract documents for construction. In addition to the other specific requirements and provisions of this Agreement, Architect shall assign **X** professionals duly qualified to provide Architectural Construction Administration Services similar to those described in this Agreement to be stationed on the Project site during the duration of construction to assist with Basic Services during the Construction Administration Phase.

- 2.6.4 Owner's Representative. Architect shall advise and consult with Owner during the administration of the Contract for Construction. Architect shall have authority to act on behalf of Owner only to the extent provided in this Agreement unless otherwise modified by written amendment.
- 2.6.5 Site Visits and Reports.
- 2.6.5.1 Architect and its Consultants, as representatives of Owner, shall visit the site at intervals appropriate to the stage of Contractor's operations, or at such intervals otherwise agreed by Owner and Architect in writing, but in no event less than **one (1) full day per week**: (a) to become generally familiar with and to keep Owner informed about the progress and quality of the Work completed; (b) to inform and endeavor to guard Owner against defects and deficiencies in the Work; and (c) to determine in general if the Work is being performed in a manner indicating that the Work, when fully completed, will be in



accordance with the contract documents for construction. These site visits shall include but are not limited to, meetings and observations of Work in progress with Owner, Contractor, governmental agencies and/or other representatives. Architect and its Consultants shall carefully review the quality and quantity of the Work at such intervals as may be required by governmental agencies, building commissioning activities. Architect's site visits and related efforts shall be focused on assisting Contractor in avoiding or timely correcting apparent defects and deficiencies in hopes of avoiding substantial construction efforts and avoiding the need for uncovering completed Work. Architect shall issue written field observations and reports of such reviews, within three (3) calendar days after a site visit, in prescribed content, intervals and format approved by Owner and as may be required by governmental agencies and Owner.

ALTERNATE WORDING FOR FULL TIME ARCHITECT AT SITE: In addition to the other requirements of this Agreement, Architect's on site personnel and such other employees and Consultants as may be reasonably necessary to perform Architect's Basic Services for the Construction Administration Phase shall endeavor (a) to become generally familiar with and to keep Owner informed about the progress and quality of the Work completed; (b) to inform and endeavor to guard Owner against defects and deficiencies in the Work; and (c) to determine in general if the Work is being performed in a manner indicating that the Work, when fully completed, will be in accordance with the contract documents for construction. These efforts shall include but are not limited to, meetings and observations of Work in progress with Owner, Contractor, governmental agencies and/or other representatives. Architect and its Consultants shall carefully review the quality and quantity of the Work at such intervals as may be required by governmental agencies, building commissioning activities and which will otherwise assist Contractor in the correction of apparent defects and deficiencies without substantial effort and without the need for uncovering Work completed. Architect shall issue written field observations and reports of such reviews, whenever appropriate in view of the facts, circumstances and observations of Architect, in prescribed content, intervals and format approved by Owner and as may be required by governmental agencies and Owner.

2.6.5.2 Architect shall report to Owner in writing known deviations from the contract documents for construction and from the most recent construction schedule submitted by Contractor.

2.6.5.3 Architect shall at all times have access to the Work wherever it is in preparation or progress.

2.6.5.4 Architect shall have no control over and shall not be responsible for construction means, methods, techniques, sequences or procedures, or safety precautions or programs in connection with the Project, which shall be the sole responsibility of Contractor.

2.6.6 Certificates For Payment.

2.6.6.1 When specifically requested by Owner, Architect shall review and take other appropriate action regarding a Contractor's Applications for Payment not later than **seven**



(7) calendar days after receipt of a completed Application for Payment from Contractor. If the Application for Payment is not complete or cannot be reviewed and/or certified for other reasons, Architect shall notify Owner and prepare a document, to return to Contractor with any such Application for Payment, setting forth in writing the reasons why the Application for Payment is incomplete or otherwise improper. A reviewed and/or certified Contractor's Application for Payment shall be delivered to Owner within **two (2) calendar days** of Architect's review and/or certification.

- 2.6.6.2 Architect's review and/or certification for payment shall constitute a representation to Owner, based on Architect's observations at the site and evaluation of the Work and on the data comprising Contractor's Application for Payment, that the Work has progressed to the point indicated and that, to the best of Architect's knowledge, information and belief, the quality of the Work is in accordance with the contract documents for construction. Architect shall verify, to the best of Architect's knowledge, that changes required by the RFIs, Architect's Supplemental Instructions, Bulletins, Clarifications, Change Orders, Amendments, Construction Work Directives, Field Conditions, Shop Drawings and other documents and conditions have been indicated on the record drawings for the Project maintained by Contractor at the Project site prior to Architect's review and/or certification of Contractor's monthly Application for Payment. Architect shall then notify Owner in writing that this review has been made.
- 2.6.6.3 A review recommending payment of an Application of Payment or the issuance of a Certificate for Payment shall not be a representation that Architect has (a) made exhaustive or continuous on-site inspections, (b) reviewed construction means, methods, techniques, sequences or procedures, (c) reviewed copies of requisitions received from Subcontractors and material suppliers and other data requested by Owner to substantiate Contractor's right to payment, or (d) ascertained how or for what purpose Contractor has used money previously paid on account of the Contract Sum.
- 2.6.7 Rejection of Work, Testing and Inspection. Architect shall have authority to recommend in writing that Owner reject Work that does not conform to the contract documents for construction. Whenever Architect considers it necessary or advisable for implementation of the intent of the contract documents for construction, Architect shall have authority to recommend in writing that Owner require additional inspection or testing of the Work in accordance with the provisions of the contract documents for construction, whether or not such Work is fabricated, installed or completed. However, neither this authority of Architect nor a decision made in good faith either to exercise or not to exercise such authority shall give rise to a duty or responsibility of Architect to Contractor, Subcontractors, material and equipment suppliers, their agents or employees or other persons or entities performing portions of the Work. Architect shall review reports, inspection and tests and advise Owner of known deficiencies.
- 2.6.8 Submittal Review. To facilitate Contractor's Shop Drawing submittal and review process, Architect and Architect's Consultants shall, upon request, make available to Contractor up to three (3) complete electronic files of the Drawings, Specifications or



Revit Linked Model documents at no charge to Contractor for use in preparing Shop Drawings. Additional electronic files of the Drawings, Specifications or Revit Linked Model documents shall be provided for a nominal fee upon request of Contractor. Architect shall review, approve or take other appropriate action upon all submittals, including, but not limited to, Shop Drawings, Product Data, mockups and Samples, of Contractor, Owner or Owner's Separate Consultants (collectively, "**Submittals**") for the purpose of checking for conformance with information given and the design concept expressed in the contract documents for construction, for compliance with Applicable Laws, and for compliance with the requirements of the contract documents for construction including, but not limited to, reviewing Submittals and other work product of delegated design systems for conformance with design and performance criteria proposed by or on behalf of Architect. Architect shall review and take action on Submittals for compliance of such Submittals with the design intent of the Project, building system or building component. If Architect does not accept or approve a Submittal in its entirety, Architect shall provide a detailed explanation of the reasons for rejection and provide instructions for corrections and re-submittal. Architect shall be responsible for determining what aspects of the Work shall be the subject of Submittals. Architect shall not knowingly permit such aspects of the construction Work to proceed in the absence of approved Submittals. Architect shall acknowledge receipt of each Submittal within three (3) calendar days of receipt. Architect shall respond in writing to each Submittal within seven (7) calendar days of receipt and shall prepare, reproduce and distribute supplemental details, Drawings, Specifications, Revit Linked Model documents modifications and interpretations as necessary, with reasonable promptness so as not to delay the orderly progress of the Work. If the review time is reasonably anticipated to exceed seven (7) calendar days of receipt of a Submittal, Architect shall inform Owner and Contractor of the anticipated response date in writing within five (5) calendar days of receipt. Architect's action shall be taken with such reasonable promptness so as to cause no delay in the Work or in the construction by Owner's own forces or by separate contractors, while allowing sufficient time in Architect's professional judgment to permit adequate review; however, in no case shall the time exceed twenty-one (21) calendar days so long as Contractor complies with the Submittal schedule. If the review time may exceed twenty-one (21) calendar days, Architect shall inform Owner in writing within five (5) calendar days of receipt of the anticipated return date and obtain Owner's prior written approval of the extended review period (which may be withheld in Owner's sole discretion). Architect's review of Submittals is not conducted for the purpose of determining the accuracy and completeness of other details such as dimensions and quantities, or for determining the means and methods for installation or performance of the Work including installation of equipment or systems, all of which remain the responsibility of the Contractor as required by the contract documents for construction. Architect's review shall not constitute approval of safety precautions or, unless otherwise specifically stated in writing by Architect, of any construction means, methods, techniques, sequences or procedures. Architect's acceptance or approval of a specific item shall not indicate approval of an assembly of which the item is a component.



2.6.9 Quotation Requests/Change Documentation. Architect shall perform the following:

- i) Prepare, reproduce and distribute Drawings and Specifications to describe Work to be added, deleted or modified.
- ii) Prepare for Owner's review, proposal requests, supplemental instructions and Construction Work Directives with supporting documentation and data if deemed necessary by Architect.
- iii) Review Contractor proposals for reasonableness of quantities and costs of labor, equipment and materials.
- iv) Review and make recommendations relative to Contractor's request for changes in the time for completion of construction.
- v) Coordinate communications, approvals, notifications and record keeping relative to changes in the Work.
- vi) Any such documentation, and in particular Construction Work Directives shall be processed by Architect within a reasonable time after Owner's request, but in no event in excess of **seven (7) calendar days**. If the processing time is expected to exceed seven (7) calendar days, Architect shall inform Owner promptly in writing of the anticipated return date.

2.6.10 RFI Response and Supplemental Documentation. Architect shall acknowledge receipt of each Contractor Request for Information ("**RFI**") within three (3) calendar days of receipt. Architect shall answer all RFI's in writing within five (5) calendar days of receipt and shall prepare, reproduce and distribute supplemental details, Drawings, Specifications, Revit Linked Model documents modifications and interpretations as is necessary, with reasonable promptness so as not to delay the orderly progress of the Work. If the review time may exceed five (5) calendar days of receipt of an RFI, Architect shall inform Owner and Contractor in writing of the anticipated response date within three (3) calendar days of receipt. Architect's action shall be taken with such reasonable promptness so as to cause no delay in the Work or in the construction by Owner's own forces or by separate contractors, while allowing sufficient time in Architect's professional judgment to permit adequate review, but in no case shall the time exceed ten (10) calendar days of receipt of RFI. If the review time may exceed ten (10) calendar days, Architect shall inform Owner in writing within three (3) calendar days of receipt of the anticipated response date and obtain Owner's prior written approval of the extended review period. Interpretations and decisions of Architect shall be consistent with the intent reasonably inferable from the contract documents for construction. Architect shall issue revised Drawings, Specifications or Revit Linked Model documents modifications as may be necessary to reflect answers to RFI's, details and sketches prepared to address field conditions, Change Orders and Construction Work Directives and shall distribute copies of the updated Drawings, Specifications or Revit Linked



Model documents modifications to Owner and Contractor so they can maintain up-to-date record drawings.

- 2.6.11 Substantial Completion and Project Close Out. Architect shall conduct inspections to assist Owner in determining the date or dates of Substantial Completion of the Work to permit occupancy and perform other Project close-out activities including: an inspection with Owner's Representative for conformity of the construction Work to the contract documents for construction to verify the list submitted by Contractor of items to be completed or corrected; determination of the amounts to be withheld from Contractor until Final Completion; securing and receipt of consent of sureties to reduction or partial release of retainage or the making of final payment; issuance of Certificate of Substantial Completion; inspection upon notice by Contractor(s) that the Work is ready for final inspection and acceptance; notification to Owner and Contractor(s) of deficiencies found in follow-up inspections, if any; final inspection with Owner's Representative to verify Final Completion of the Work; assist in building commissioning, receipt and transmittal of warranties, guaranties, affidavits, receipts, releases and waivers of stop notice and bond rights (and related documents required by the contract documents for construction), received from Contractor to Owner, for Owner's review; and issuance of a final Certificate for Payment based upon a final inspection indicating the Work complies with the requirements of the contract documents for construction as of the date of Final Completion.
- 2.6.12 Record Documents, Record Drawings and As-built Drawings. As further detailed in **Exhibit 6**, no later than thirty (30) calendar days after receipt of As-built Drawings from Contractor and as a condition precedent to final payment to Architect, Architect and its Consultants shall review for accuracy, correct where necessary, and forward to Owner a set of "**Record Drawings**" produced by Architect from the redline As-built Drawings received from Contractor, including applicable addenda, bulletins, clarifications, submittal information, changes and selections made during construction. In addition, Architect shall provide to Owner, Record Construction Documents including all civil, architectural, structural, plumbing, mechanical, electrical, landscape, special systems, and updated specifications, which shall reflect Contractor's As-built Drawings and submittal information. As further detailed in **Exhibit 6**, the Record Documents, including the Project Manual, and all engineering calculations shall be provided by Architect to Owner in three (3) full size documents and three (3) electronic versions on disks in CAD and Revit with linked AutoCAD format and shall be clearly identified near or in the title block on each sheet as "**RECORD DRAWINGS**". All CAD and Revit Linked Model Record Documents shall be prepared in accordance with AIA layering system standards, USC CAD Guidelines or University Record Revit Model Requirements as contained in **Exhibit 5**. The medium for transmittal of all AutoCAD files and Revit Linked Model document files shall be as agreed by Owner. If any inconsistencies or ambiguities arise between this provision and **Exhibits 5 and 6**, such inconsistencies shall be resolved by Architect complying with the more stringent requirements. Owner recognizes that the CAD and Record Revit Model Documents may be subject to undetectable alteration,



either intentional or unintentional, due to, among other causes, transmission, conversion, media degradation, software error or human alteration. Accordingly, the CAD and Record Revit Model Documents are provided to Owner for informational purposes only and not as an end product. Owner agrees to waive any claims by Owner against Architect resulting from the unauthorized alteration, misuse or reuse of the CAD and Record Revit Model Documents.

- 2.6.13 Construction Drawing Updates. During the course of construction and upon request, Architect shall update and reissue to Contractor or Owner the construction drawings to accurately reflect all changes made to the construction documents during the course of construction up to a maximum of five (5) times. Additional updates will be provided as Additional Services as defined below, but only be provided if approved in advance in writing by Owner.

ARTICLE 3 – ADDITIONAL SERVICES

3.1 GENERAL

Owner, without invalidating this Agreement, may make written changes, additions and deletions in the Scope of Services or otherwise amend this Agreement. All changes in the Services shall be performed by Architect under applicable provisions of the Agreement. Except in an emergency endangering life or property, no Additional Services or change shall be made except pursuant to a written amendment to this Agreement and no claim for additional compensation or an extension of the Schedule or Milestone Date(s) as described in **Exhibit 2** shall be valid unless so ordered by Owner. At Owner's request, Architect may be asked to perform services not otherwise included in this Agreement, not included within the Basic Services enumerated herein and in **Exhibit 1**, or not customarily furnished in accordance with generally accepted architectural practice. As used herein, "**Additional Services**" shall mean: (a) any services determined by Owner to be necessary for the proper completion of the Project, but which the Parties did not reasonably anticipate would be necessary for Architect to perform at the execution of this Agreement; or (b) any services listed as Additional Services or excluded services in **Exhibit 1** attached hereto.

3.2 OWNER'S AUTHORIZATION OF ADDITIONAL SERVICES

- 3.2.1 Owner may issue a request, in writing, to Architect, describing a proposed addition, deletion or change to the Basic Services and requesting Architect to submit a proposal, in a format acceptable to Owner, within ten (10) calendar days after Owner's issuance of the request. Architect's proposal shall include an analysis of impacts to cost and time, if any, to perform the addition, deletion or change in Basic Services, as applicable, including the effects and impacts, if any, on unchanged Services and on the time for construction of the Work. If Architect fails to submit a proposal within such period of time, it shall be presumed that the change described will not result in a change to Architect's compensation or time for completion of any Services and the change shall be performed



by Architect without adjustment thereto. Owner's written request for a pricing proposal does not authorize Architect to commence performance of the described services. If the Parties reach agreement on the cost of or basis for pricing such change(s), an amendment to the Agreement will be issued by Owner and executed by the Parties memorializing the terms of such Agreement.

- 3.2.2 Architect shall not perform, nor be compensated for, Additional Services without prior written authorization from Owner and without an agreement between Owner and Architect as to the compensation to be paid for such Additional Services; provided, however, that if Owner and Architect are unable to reach agreement on compensation, Owner may issue a written directive to Architect to proceed with the Additional Services, setting forth the nature of the Additional Services and the estimated additional compensation for such Additional Services. Architect shall maintain records sufficient to distinguish the direct cost of the Additional Services from the direct cost of the Basic Services. No costs exceeding the Owner-estimated or mutually agreed upon (as the case may be) additional compensation shall be incurred or invoiced by Architect without written authorization from Owner. Owner shall pay Architect for completion of any approved Additional Services, pursuant to the compensation provisions herein, so long as such services are not made necessary through the fault of Architect. Such Additional Services shall not include any redesign or revisions to Drawings, Specifications or other documents when such revisions are necessary in order to bring such documents into compliance with Applicable Laws of which Architect was aware or should have been aware pursuant to the Applicable Laws provision of this Agreement above.

3.3 ARCHITECT'S REQUEST FOR ADDITIONAL SERVICES

If Architect contends that instructions issued after the effective date of the Agreement will result in increases to the compensation for or time for completion of its Services or Architect otherwise becomes aware of the need for or desirability of Additional Services, then Architect may submit a request for Additional Services to Owner in writing, in a format acceptable to Owner, which must specify the reasons for such change, including relevant circumstances and impacts on the Schedule and estimated Construction Cost. Architect shall submit a pricing proposal concurrently with Architect's request for Additional Services. Architect may request additional compensation and/or time but not for instances that occurred more than **five (5) calendar days** prior to Architect's delivery of a request for Additional Services. Architect's failure to initiate a request for Additional Services within such period shall be deemed a waiver of the right to adjustment of the compensation or time for completion for the alleged change. Any request for Additional Services that is approved by Owner will be incorporated in an amendment to the Agreement.



ARTICLE 4 – OWNER'S RESPONSIBILITIES

4.1 REPRESENTATIVE

Owner shall designate in writing a representative authorized to act on Owner's behalf with respect to the Project (“**Owner’s Representative**”). Owner or Owner’s Representative shall render decisions in a timely manner pertaining to documents submitted by Architect in order to avoid unreasonable delay in the orderly and sequential progress of Architect's Services.

4.2 OWNER-SUPPLIED INFORMATION AND SERVICES

4.2.1 Exclusions from Architect’s Services. Portions of the design that are excluded are identified in **Exhibit 1**.

Commented [INSTRUCT2]: NOTE: SECTION 4.2 SHOULD BE CAREFULLY REVIEWED IN EACH TRANSACTION TO DETERMINE IF AND TO THE EXTENT OWNER SHALL ACTUALLY BE PERFORMING THE SERVICES DESCRIBED HEREIN.

4.2.2 Site Survey. Owner shall furnish to Architect surveys to describe existing physical characteristics for the Project site. The surveys may include, as applicable, utilities, grades and lines of streets, alleys, pavements and adjoining property and structures; adjacent drainage; rights-of-way, restrictions, easements, encroachments, deed restrictions, boundaries and contours of the site; locations, dimensions and necessary data with respect to existing buildings, other improvements and trees. All the information on the surveys shall be referenced to a Project benchmark, if available.

4.2.3 Geotechnical Services. Owner shall furnish the services of a geotechnical engineer when such services are identified by Architect as necessary for the Work. Such services may include but are not limited to test borings, test pits, determinations of soil bearing values, percolation tests, evaluations of hazardous materials, ground corrosion tests and resistivity tests, including necessary operations for anticipating subsoil conditions, with reports and appropriate recommendations.

4.2.4 Other Consultants. Owner may, in its sole discretion, furnish the services of Owner’s Separate Consultants in disciplines other than those designated in this Section when such services are requested by Architect and are reasonably required by the scope of the Project.

4.2.5 Other Owner Services. Owner shall furnish structural, mechanical, and chemical tests; tests for air and water pollution; tests for hazardous materials; and other laboratory and environmental tests, field observations and reports required by law or the Contract Documents.

4.3 OTHER SERVICES

Owner may furnish, at its sole discretion, any legal, accounting and insurance services that Owner deems necessary at any time for the Project to meet Owner's needs and interests. Such services may include auditing services Owner may require to verify



Architect's invoices and Contractor's Applications for Payment or to ascertain how or for what purposes Architect or Contractor has used the money paid by or on behalf of Owner.

4.4 GENERAL

The services, information, surveys and reports required by Sections 4.2 and 4.3 above shall be furnished at Owner's expense, and Architect shall be entitled to reasonably rely upon the technical information provided therein, but not upon any non-technical information, opinions or conditional statements.

ARTICLE 5 – CONSTRUCTION COST

5.1 DEFINITION

5.1.1 Definition. The “**Construction Cost(s)**” shall be the total cost to Owner of all elements of the Project agreed to by Owner and Architect (“**Owner's Program**”) and designed or specified by Architect.

5.1.2 Owner's Budget for Construction Costs. The estimated Construction Cost shall not exceed Owner's Budget for Construction Costs of [REDACTED] **Dollars (\$ [REDACTED])**. In no event will Architect be relieved of its responsibility to design the Project within Owner's Budget for Construction Costs.

5.1.3 Exclusions from Owner's Budget for Construction Costs. Owner's Budget for Construction Costs has been prepared by Owner and its Separate Consultants based on current market information involving quantity, labor and material survey take-off methodologies and does not include the compensation of Architect, its Consultants, the costs of the land, rights-of-way and financing or other costs that are the responsibility of Owner pursuant to Article 4 above and in **Exhibit 1**.

5.2 BUDGET REVIEW AND COST ESTIMATING

Architect shall hire an estimating firm as one of its Consultants to prepare all estimates as indicated below, in the format required by Owner. Owner's Project team will meet to reconcile the estimates of the Architect's Consultant with the estimates of Owner and Owner's Separate Consultants, if any, so that a mutually agreed-upon estimate will be established for each estimate indicated below.

Additionally, Architect shall collaborate with Owner and Owner's Separate Consultants as indicated below, so that Owner and Owner's Separate Consultants can create their independent estimates.

5.2.1 Preliminary Estimate for Construction Costs. Architect shall collaborate with Owner and Owner's Separate Consultants, if any, so they can create a preliminary estimate of



Construction Costs during the Schematic Design Phase based upon the design provided by Architect and Owner, consistent with Owner's Budget for Construction Costs; such preliminary estimate shall include, at a minimum, the following line items, unless excluded in **Exhibit 1**:

No.	Item	Scope of Work
(i)	Site Preparation/ Demolition	Cost to clear site of all existing improvements, landscaping, and hardscape, and related utility infrastructure, in order to prepare site for construction, including the cost to remove and dispose of all demolished and cleared items
(ii)	Utility Connections	Cost to bring water, electricity, gas, storm sewer, sanitary sewer and steam to the building from the nearest available source.
(iii)	Telecommunications/Data Lines.	Cost of telecommunications/data lines, designed by Architect as part of Basic Services, including the labor and materials to bring the main service feeder conduit from nearest manhole or source to building, all telephone/data rooms, backboards, supporting utility service, all conduit and pull wires, risers, cable trays, and termination boxes within the building and related landscape areas. Cost for all engineering and construction by Owner of telecommunications/data lines designed including labor and materials to bring telephone, data and CATV service from nearest manhole or source into the building's main telephone room, all switches, wiring and main service feeder, all wiring infrastructure and final terminations within the building and all related landscape/hardscape areas.
(iv)	Landscape/ Hardscape	Cost all landscape work and hardscape installation, which includes patios, asphalt, concrete, special surfaces, sidewalks, parking lots, fountains, monuments, lighting, etc.
(v)	Fixed Equipment	Cost of all Contractor-installed permanent equipment, attached mounting devices, and all electrical/electronic conduit, wiring, and devices required for operation. Includes all permanent laboratory equipment and machinery, kitchen and dining equipment, as well as display marker and chalk boards, projection and audio visual equipment, speakers, microphones, and screens and related electrical motors, wiring and controls,



No.	Item	Scope of Work
		permanent distance learning, computer/data networking devices and infrastructure permanently affixed to the building.
(vi)	Construction Contract	Cost of the Work required to legally and completely construct improvements in accordance with Owner's approved Project schedules and contract documents for construction, including delivery and cost of materials, fully burdened labor, rental value of equipment, taxes, contractor's insurance and bond premiums, overhead and profit for all work established therein.

- 5.2.2 Conformance with Owner's Budget for Construction Costs. Architect and Owner and Owner's Separate Consultants shall review their estimates and mutually agree in writing upon the preliminary estimate of Construction Costs. If the preliminary estimate of Construction Costs or any adjustment thereto exceeds Owner's Budget for Construction Costs, Architect shall, as part of its Basic Services, revise and adjust the design to conform to Owner's Budget for Construction Costs.
- 5.2.3 Estimates during Design. Throughout the Schematic Design, Design Development, Construction Documents and Bidding and Negotiation Phases of Services, Architect's estimating firm shall create separate estimates. Additionally, Architect shall collaborate with Owner and Owner's Separate Consultants so that they can update their respective Construction Cost estimate. Architect shall participate in meetings to reconcile the latest estimates of Architect with those of Owner and Owner's Separate Consultants in order to establish a mutually agreed-upon estimate approved in writing by Owner. Architect shall be continuously knowledgeable as to the state of the current estimated Construction Cost and adjustments thereto.
- 5.2.4 Additional Estimating Services. Additional estimating services may be added as Additional Services using the hourly rates established in **Exhibit 4**.
- 5.3 RESPONSIBILITY FOR CONSTRUCTION COST
- 5.3.1 Designing to Fixed Budget. Owner's "**Budget for Construction Costs**" as established in Section 5.1.2 above shall constitute a "fixed limit for Construction Cost" as these terms are used herein. At intervals appropriate to the progress of Schematic Design, Design Development, Construction Documents and Bidding and Negotiation phases of Services, as described in **Exhibit 1** and **Exhibit 2** or as described in Sections 2.2 through 2.5 above; Architect shall provide a design which conforms to Owner's Budget for Construction Costs. Architect shall collaborate with Owner's Separate Consultants, and perform the cost estimating services described in this Article 5.



- 5.3.2 Redesigning if Estimated Construction Costs Exceed Budget. If the Construction Costs at the intervals referenced in Section 5.3.1 exceed the Owner's Budget for Construction Costs as established in Section 5.1.2, then Architect shall, at its sole cost and expense, revise the contract documents for construction as may be required by Owner in writing to reduce or modify the quality or quantity, or both, of the Work so that the Construction Cost will not exceed Owner's Budget for Construction Costs. Architect shall be responsible for the cost of any modifications to other documents such as the Specifications, permit applications, or agency approvals, which were issued in reliance on the information contained in the Construction Documents. If approved by Owner in writing, Architect shall utilize the cost estimates and construction valuations prepared by Contractor and other Owner-retained consultants, if any, in determining conformance of Architect's design with Owner's Budget for Construction Costs.
- 5.3.3 No Warranty. Any evaluations by Architect of Owner's Budget for Construction Costs or estimates prepared by Architect or its Consultants represent Architect's judgment as a design professional familiar with the construction industry. It is recognized, however, that Architect has no control over the cost of labor, materials or equipment, over Contractor's methods of determining bids, or over competitive bidding, market or negotiating conditions. Accordingly, Architect cannot and does not warrant or represent that bids or negotiated prices will not vary from Owner's Budget for Construction Costs or any estimates. This shall not be construed to relieve Architect of its obligations to Owner under Section 5.3.2 above or under the standard of care in Section 2.1.5 above.

ARTICLE 6 – OWNERSHIP OF INSTRUMENTS OF SERVICE

6.1 OWNERSHIP AND LICENSE

The instruments of service prepared or issued by Architect and its Consultants in connection with the Project including, but not limited to, Drawings, Specifications, sketches, calculations, estimates, models, computer drawings and other electronic expression, photographs and all other documents, in both hard copy and computer media (including CAD and Revit Linked Model documents) (collectively "**Project Documents**") are "work for hire" and shall become the property of Owner when prepared and shall be delivered to Owner upon request and upon payment of all undisputed Services completed to date. Architect hereby assigns to Owner, without reservation, all copyrights and interests to all Project Documents. Owner, in turn, hereby grants to Architect a non-exclusive license to reproduce the Project Documents for purposes relating directly to Architect's performance of this Project and for Architect's archival records. Architect shall maintain a copy of the Project Documents on Architect's software system and allow Owner access to the Project Documents within twenty-four hours' notice for ten (10) years after final completion of the Project. If for any reason this clause is found to be unenforceable and the copyright or other rights remain with Architect, then Architect shall agree to grant Owner a full and complete license to use the Project Documents without reservation and for any purpose related to the Project,



including additions, remodels, modifications, and the like, without any additional fee or cost to the Owner.

6.2 RE-USE OF PROJECT DOCUMENTS

If this Agreement is terminated prior to completion of Architect's Services, and Owner elects to use or allow another architect or design professional to use the documents prepared by Architect for Owner's benefit, Owner agrees to assume the risk of such usage by another architect or design professional. Architect shall remain responsible and liable for the Services it provided for the Project up to the date of termination, but shall not be held responsible or liable for the subsequent acts, errors or omissions of another architect or design professional who may be retained by Owner to complete the Services for the Project.

ARTICLE 7 – DISPUTE RESOLUTION

7.1 ATTORNEYS' FEES

If Architect and Owner encounter a claim, controversy or dispute (collectively, "**Dispute**"), and the Dispute is not settled and proceeds to binding arbitration pursuant to this Article 7 or other procedures agreed to by the Parties, arbitrator or other trier of fact shall have authority to award costs of the proceeding, including reasonable attorney's fees and costs, to the Party determined to have substantially prevailed in the following types of cases: if the Dispute involves design defects, construction defects, breach of warranty, or breach of the standard of care, the prevailing Party shall be entitled to recover its reasonable attorneys' fees and costs, including expert witness fees. In all other Disputes, the Parties shall bear their own attorneys' fees and costs, including expert witness fees.

7.2 NOTICE OF DISPUTE

If a Dispute arises, Owner or Architect shall promptly give to the other a written notice of the Dispute but in no event shall notice be provided by Architect or Owner more than fourteen (14) calendar days after the Dispute first arises. Thereafter, Architect and Owner shall each prepare a written report which supports their respective positions regarding the Dispute and file the report with the other Party in a timely fashion. The report shall be considered part of confidential settlement negotiations and, therefore, shall not be used for any purpose other than the initial attempts to settle the Dispute. Once the reports are exchanged, the Parties shall meet and diligently attempt to informally resolve the Dispute.



7.3 DUTY TO PROCEED WITH DISPUTED SERVICES AND INTEREST ON DISPUTED AMOUNTS

Architect shall perform its Services and adhere to the Schedule during all Disputes with Owner, provided Owner continues to make timely payment of undisputed amounts to Architect during the pendency of the Dispute. Owner shall not withhold any undisputed payments that do not pertain to or are not otherwise the subject of the Dispute. No Services shall be delayed or postponed pending resolution of the Dispute through informal means, mediation or arbitration. If Owner withholds payment of undisputed amounts beyond sixty (60) calendar days of when the undisputed amounts were due, then Owner shall pay Architect six percent (6%) per annum on the undisputed amount. If Owner disputes an amount, Owner shall not pay interest on such disputed amount unless it is determined by the arbitrator or trier of fact that the disputed amount was not a colorable claim or was otherwise wrongfully withheld in which case Owner shall pay six percent (6%) interest per annum on such wrongfully withheld amount.

7.4 ALTERNATE DISPUTE RESOLUTION ("ADR").

- 7.4.1 Executive Negotiations. Unless indicated otherwise in writing, (a) in Disputes involving Owner and Contractor or (b) in Disputes involving Owner and Architect, such entities shall be referred to individually as a "Party" and collectively as the "Parties" to the ADR proceedings detailed herein. Also, (i) Architect or others, such as consultants, subcontractors, sub-subcontractors, and suppliers, shall participate in the ADR proceedings between Owner and Contractor or (ii) Contractor or others, such as consultants, subcontractors, sub-subcontractors, and suppliers, shall participate in the ADR proceedings between Owner and Architect to the extent that they are considered individually as a "necessary party" or collectively as the "necessary parties" to the ADR proceedings detailed herein.

If there is any Dispute(s) unresolved through informal negotiations, the Parties and necessary parties, through their designated executives shall attempt to resolve such Dispute(s) through direct negotiations before or in lieu of engaging a Project Neutral as detailed below.

These direct negotiations shall be between or among executives with authority to resolve the Dispute(s). To this effect, the executives shall reasonably consult and negotiate with each other and, recognizing their mutual interests, attempt to reach a just and equitable resolution satisfactory to the Parties. These discussions are intended to be informal and must be conducted face-to-face.

If negotiations between the executives do not result in the resolution of the Dispute(s) between or involving the Parties and any necessary parties, then the Parties may initiate Project Neutral proceedings with respect to the remaining Dispute(s).



7.4.2 **Project Neutral.** If the Parties subsequently agree, the Parties shall select one or more “**Project Neutral(s)**” for the Project for the then pending Dispute(s). The Project Neutral(s) shall be experienced both in the design and construction of major real estate developments as well as the mediation of design and construction disputes. The parties shall select the Project Neutral(s) from among the members of the Construction Industry Mediation Panel of the American Arbitration Association who reside in the State where the Project is located or from other mutually agreeable panels.

The Project Neutral(s), in close consultation with the involved Parties, shall assist in resolving any Dispute that might arise from the commencement of design through Final Completion of the Work. The Project Neutral(s) shall have no adjudicatory or binding authority and, therefore, shall act solely as a mediator in working with the Parties and necessary parties.

The services of the Project Neutral(s) shall be provided on an hourly basis and the cost will be borne in equal parts by the Parties, except as agreed to in writing between any other entity and Contractor or Architect with prior written notice to and approval of Owner.

The confidentiality of any discussion involving the Project Neutral(s), the Parties and necessary parties shall be protected by all applicable statutes and case law with respect to mediation.

The term of service by the Project Neutral(s) shall end upon the date when either Party notifies the other Party in writing that the notifying Party has determined in good faith that further proceedings with the Project Neutral will not likely result in a resolution of the claims submitted to the Project Neutral. The Project Neutral(s) may be involved in subsequent dispute resolution negotiations or proceedings under the terms and conditions set forth herein upon the mutual agreement of the Parties.

7.4.3 **Mediation.** If negotiations between the Parties’ executives and the participation, if at all, of the Project Neutral(s) do not result in the resolution of all the remaining Disputes between or involving the Parties and any necessary parties, then either Party may initiate mediation proceedings with respect to the then pending Disputes not resolved through negotiations. Such mediation proceedings shall be conducted under the Construction Industry Mediation Rules of the American Arbitration Association. The cost of the mediation proceedings and the mediator shall be allocated under the rules and policies of the American Arbitration Association.

During mediation, the Parties and necessary parties shall reasonably endeavor to resolve any and all remaining Disputes which they have with respect to the Project. Unless required by statute, no arbitration or court proceeding shall be initiated prior to ninety (90) calendar days after any party serves a written demand for mediation with the American Arbitration Association.



The confidentiality of the mediation shall be protected by all applicable statutes and case law with respect to mediated settlement negotiations.

If, after the passage of ninety (90) calendar days from service of any written demand for mediation on the American Arbitration Association the mediation does not result in settlement of all Disputes, then any unresolved Dispute arising from or relating to this contract shall be settled by judicial reference or by arbitrator, as the case may be, as described in the following Sections. The Parties may agree to extend this ninety (90) calendar day period.

- 7.4.4 Dispute Resolution by Arbitration or Judicial Reference. As further detailed below, the intent of this Section is that the parties settle any remaining Dispute(s) (a) valued together at **below \$1 million** by way of binding arbitration utilizing the then current version of the American Arbitration Association Construction Industry Arbitration Rules, and (b) valued together at **\$1 million or more** by way of litigation that is referred by the court to a private referee pursuant to the judicial reference rules of the court as detailed below. The Parties agree to take such actions as to enable a judicial reference whereby (1) the Dispute is heard and determined under the rules of court, (2) the statement of decision by the referee is provided to the court so the court may enter the statement of decision as a judgment as if the case had been tried by the court, and (3) the normal rules with respect to appeals then apply as to the judgment entered by the court.

If the Dispute(s) are to be settled by judicial reference, the parties stipulate that trial by jury and judge is waived as to all unresolved Dispute(s). The Party or Parties seeking affirmative relief will file a court action (and/or cross-complaint in an existing court action). The Parties, however, expressly stipulate that all such court-filed Dispute(s) equaling or **exceeding \$1 million** in value, shall be referred by the court to a retired judge, justice or referee ("**Referee**") pursuant to Section 638(1) of the California Code of Civil Procedure ("**CCP**"), or any successor provision. The Referee, who is agreed to by all Parties pursuant to the LCCP Rules, as defined below, will hear and determine all issues with respect to such Disputes, both as to the facts and the law, in accordance with Chapter 6 (References and Trials by Referees) of Title 8 of Part 2 of the CCP, in a proceeding before the American Arbitration Association in accordance with its Construction Industry Arbitration Rules, the Rules of its Large, Complex Case Dispute Resolution Program (i.e., the "**LCCP Rules**"), and its Judicial Reference Procedures, as applicable. The Parties agree that the only proper venue for the submission of claims is the county where the Project is located.

The Referee selected shall be named in an order of the court as such in accordance with the applicable law as to judicial references.

Within thirty (30) calendar days of when the hearings in a judicial reference case are closed under the LCCP Rules, the Referee shall report its statement of decision to the court. Such statement of decision by the Referee shall include a detailed, written opinion explaining the decision, including the Referee's findings of fact and conclusions of laws.



Judgment on the Referee's decision may be entered by the court as if the action had been tried in court. The Parties reserve the right to contest the Referee's decision and to appeal from any award or order of any court.

The cost of the Referee or the American Arbitration Association binding arbitration proceedings shall be borne by the participating Parties and necessary parties as determined by the arbitrator in binding arbitration, when applicable, or by the court after the Referee's decision is provided to the court, when applicable. An order so providing can be entered by the court without further notice.

- 7.4.5 Incorporation by Reference. The Parties agree to incorporate this ADR provision (i.e., Sections 7.4.1 through 7.4.9) into any contracts, consulting agreements, subcontracts and any other agreements with Consultants, Sub-Consultants, Subcontractors, Sub-subcontractors or suppliers which they may enter with respect to the Project. The expectation of the Parties is that any entity or individual working on the Project, other than individual trades people and employees of entities, will be bound to resolve their Dispute(s) which involve Owner, Contractor, Architect and/or any of their Consultants, Sub-Consultants, Subcontractors, Sub-subcontractors or suppliers in one proceeding in which all Parties will participate and be bound.
- 7.4.6 Claims and Timely Assertion of Claims. The party filing a notice of demand for arbitration must assert in the demand all dispute(s) then known to that Party on which arbitration is permitted to be demanded.
- 7.4.7 Arbitration Prehearing. If there is an arbitration proceeding, there shall be a prehearing among the arbitrator and the Parties and necessary parties at which each Party shall present a memorandum disclosing the factual basis of its claim and defenses and disclosing legal issues raised. The memorandum shall also disclose the names of any expert a Party intends to present as a witness during the proceedings. At the prehearing, the arbitrator shall make rulings and set schedules for hearings consistent with the powers as set forth in this paragraph and in the Construction Industry Arbitration Rules. All hearings shall be held on consecutive weekdays until five (5) hearings have been held and shall be recommenced within seven (7) calendar days of the last prior day of hearings. If requested by either Party to this Agreement, any individual or number of sessions shall take place at the site of the Project.
- 7.4.8 Joinder in Arbitration or Judicial Reference. Notwithstanding any other provision of the Agreement, the American Arbitration Association may join to any binding arbitration or judicial reference under this Agreement an entity not a Party to this Agreement or other arbitrations involving this Project if such joinder is necessary to a complete resolution of any common issues of law or fact.
- 7.4.9 Discovery in Arbitration. Notwithstanding any other provision herein, the Parties in binding arbitration shall be entitled to discover all documents and information reasonably necessary for a full understanding of any legitimate issue raised in the arbitration. The



Parties may use all methods of discovery available under the State of California discovery statutes and shall be governed thereby. Prior to the deposition of any expert witness, the Party proposing to call such a witness shall provide a full and complete report by the expert, together with the expert's calculations and other data by which the expert reached any opinions concerning the subject matter of the arbitration. The report shall be provided no less than ten (10) calendar days prior to the date set for the expert witness' deposition. The Federal Rules of Evidence shall be applied in the arbitration but liberally construed to allow for the admission of evidence that is helpful in resolving the controversy.

ARTICLE 8 – TERMINATION OR SUSPENSION

8.1 TERMINATION BY OWNER FOR CAUSE

Owner shall have the right to terminate Architect, in part or in whole, under this Agreement upon written notice, effective immediately unless otherwise provided in said notice, if Architect: (a) fails to commence the Services in accordance with the provisions of this Agreement; fails to diligently perform the Services; (c) fails to use acceptable personnel or Consultants; (d) fails to comply with Applicable Law in performing its Services; (e) fails to perform any of Architect's obligations under this Agreement; or (f) fails to make prompt payments to Architect's personnel or Consultants in performing its Services. Any such act to terminate by Owner shall not be deemed a waiver of any other right or remedy of Owner under this Agreement, at law and/or in equity. In the event of such termination, Owner shall be entitled to withhold from Architect amounts unpaid hereunder and to offset the amounts against damages, liabilities or losses incurred by Owner including, but not limited to, any increased costs of the Services that Architect was to have performed under this Agreement. If the amounts so withheld are insufficient to fully compensate Owner for such damages, liabilities or losses, Architect shall promptly pay the amount of the difference to Owner upon written notice.

8.2 TERMINATION BY OWNER FOR CONVENIENCE

- 8.2.1 Termination by Owner for Convenience. Owner shall have the right to terminate this Agreement, in part or in whole, for Owner's convenience without regard to cause, fault or breach. Such termination for convenience shall be made upon written notice, effective immediately unless otherwise provided in the termination notice. In the event of such termination for convenience, Owner shall pay as the sole compensation and remedy to Architect for such termination for convenience, the sums due for the Services under this Agreement and performed through the date of termination plus reasonable termination costs incurred due to such termination. Such sums will be due and payable on the same conditions as set forth for final payment to the extent applicable. Upon receipt of such payment, the Parties hereto shall have no further obligations to each other under this Agreement except for Architect's obligation to indemnify Owner and maintain any insurance as provided for in this Agreement and other obligations that expressly survive the termination of this Agreement. It is understood and agreed that no fee, anticipated



profit or other compensation or payment of any kind or character shall be due or payable for unperformed Services regardless of the basis of termination and the inclusion of this provision within this subsection shall in no way limit its application to termination under this subsection. Architect agrees that each agreement with any Consultant entered into by it will reserve for Architect the same right of termination for convenience provided by this subsection.

8.2.2 Conversion to Termination for Convenience. Upon a determination by an arbitrator or other trier of fact that any termination of Architect or its successor for cause was wrongful, such termination shall be deemed converted to a termination for convenience as detailed above and Architect's sole remedy for wrongful termination shall be limited to the payments permitted for termination for convenience as set forth above.

8.2.3 Non-Exclusive Remedy. The rights and remedies of Owner in the event of termination herein set forth shall be non-exclusive and shall be in addition to all those other remedies available at law or in equity.

8.3 TERMINATION BY ARCHITECT FOR CAUSE

Architect may terminate this Agreement for cause upon not less than **seven (7) calendar days'** prior written notice to Owner if Owner fails to pay Architect any undisputed amounts owed Architect under this Agreement within the applicable time periods for payment set forth in this Agreement or Owner otherwise commits a material default of Owner's obligations under this Agreement and Owner fails to cure such default within **thirty (30) calendar days** after Architect notifies Owner of such default in writing. Upon Architect's termination for cause, Owner shall pay Architect all undisputed amounts owed Architect for Services performed by Architect prior to such termination.

8.4 ARCHITECT'S DUTIES UPON TERMINATION

If Owner terminates Architect, in whole or part, under this Agreement, if Architect terminates this Agreement and/or a Service Order, or if Architect terminates a Consultant with Owner's approval, Architect shall deliver to Owner all Project Documents pertaining to this Agreement, including records, reports, logs, diaries, estimates, contractor Submittals and other items produced or purchased pursuant thereto this Agreement by or through Architect and its Consultants (or, in the case of the termination of just a Consultant, by or through such Consultant), as applicable, within **fifteen (15) calendar days** after Owner's notice of termination in an organized, usable form, in both a hard copy and computer medium (CAD and Revit Linked Model) form, with all items properly labeled to the degree of detail specified by Owner. No compensation otherwise due under this Agreement shall be due Architect until it complies with the requirements of this Section.



8.5 MODIFICATION OF SERVICES

Architect agrees that Owner may modify Services described in this Agreement, including increasing, decreasing or suspending part or all of the Services required thereunder without terminating this Agreement and without penalty or cost to Owner. A modification described in the foregoing shall not void or invalidate this Agreement nor shall it provide Architect with any basis for seeking payment from Owner for deleted or suspended Services except to the extent such Services have already been performed and are otherwise billable under this Agreement. Owner shall retain the right to later have any Services so suspended or deleted from this Agreement performed by others without any penalty to Owner. In the event of any such partial or complete deletion or suspension, Owner shall furnish Architect with prompt written notice thereof and Owner shall be entitled to have as its property all Project Documents. Thereafter, Owner may, at its sole election, require Architect to perform Services which were earlier deleted or suspended under this Agreement. Architect shall not resume any such deleted or suspended Services until Owner has issued a written authorization or an amendment to this Agreement.

8.6 MANNER OF PAYMENT UPON TERMINATION, PARTIAL DELETION OR SUSPENSION OF SERVICES

Upon any deletion, suspension or termination by Owner and upon receipt of one (1) original of the final certified Application for Payment and all of the documentation identified in Section 8.3 above, Owner shall pay Architect the amount requested in the Application for Payment, minus disputed amounts (as determined by Owner) for the Services performed prior to such deletion, suspension or termination (less amounts previously paid).

ARTICLE 9 – MISCELLANEOUS PROVISIONS

9.1 GOVERNING LAW

This Agreement shall be governed by the law of the State of California.

9.2 MEANING OF TERMS

Terms and conditions in this Agreement that are not otherwise defined in this Agreement shall have the same meaning as the terms and conditions in the Contract for Construction, (including any General Conditions incorporated into or attached thereto) executed by Owner and the applicable Contractor.

9.3 WAIVER OF SUBROGATION

Architect agrees to have its insurance companies waive any rights of subrogation that they may have against Owner, and Owner agrees to have its property insurance company,



if any, waive any rights of subrogation that it may have against Architect to the extent that (a) the property loss is covered and paid by the property insurance carrier, (b) the property loss is sustained prior to Substantial Completion of the Work and (c) the property loss relates to the Work, but Owner does not waive its subrogation rights and damages as to any of Owner's other properties that are not part of the Work. Architect shall require all its Subcontractors, suppliers, design professionals and their sub-subcontractors, sub-consultants and suppliers to include similar waivers of subrogation in their respective contracts.

9.4 SUCCESSORS AND ASSIGNS

Each Party hereby binds itself, its partners, successors, assigns and legal representatives to the other Party and to the partners, successors, assigns and legal representatives of such other Party with respect to all covenants of this Agreement. Architect shall not assign this Agreement without the written consent of Owner. Owner may freely assign its rights hereunder, without limitation, to a separate entity and Architect agrees, upon such entity's request, to continue and complete performance of the Services upon payment of any undisputed outstanding amounts due Architect for Services performed. Any entity which shall succeed to the rights of Owner shall be entitled to enforce the rights of Owner hereunder. If requested by such entity, Architect will execute a separate letter or other agreement with such entity, further evidencing Architect's commitment to continue performance of this Agreement.

9.5 HAZARDOUS MATERIALS

Unless otherwise provided in this Agreement, Architect and Architect's Consultants shall have no responsibility for the discovery, presence, handling, removal or disposal of or exposure of persons to hazardous materials or toxic substances in any form at the Project site.

9.6 PUBLICITY

Architect shall have the right, upon prior written consent of Owner, to include photographic or artistic representations of the design of the Project among Architect's promotional and professional materials. Architect shall be given reasonable access to the completed Project to make such representations. However, Architect's materials shall not include Owner's confidential or proprietary information. Owner considers all information concerning this Project to be confidential and proprietary unless otherwise expressly indicated to Architect.

9.7 CERTIFICATES

If Owner requests Architect to execute certificates relating to evaluation by Architect and its Consultants regarding the Work performed by Contractor, then the proposed language of such certificates shall be submitted to Architect for review at least **seven (7) calendar**



days prior to the requested dates of execution. Architect shall not be required to execute certificates that would require knowledge, services or responsibilities beyond the Scope of Services under this Agreement.

9.8 CONFIDENTIALITY

Except as required by law, Architect, its agents, employees, subcontractors and suppliers shall not engage in any communication or correspondence with persons not directly involved in the Project, concerning any aspect of the design and construction of the Project, without the express written consent of Owner. All communications to the media, or in response to inquiries made by private citizens, shall be issued solely through Owner.

9.9 INDEPENDENT CONTRACTOR

9.9.1 Architect as Independent Contractor. It is understood that in the performance of the Services under this Agreement, Architect shall be, and is, an independent contractor, and is not an agent or employee of Owner and shall furnish such Services in its own manner and method except as required by this Agreement. Further, except as provided herein, Architect has and shall retain the right to exercise full control over the employment, direction, compensation and discharge of all persons employed by Architect in the performance of the Services hereunder. Architect shall be solely responsible for, and shall indemnify, defend and save Owner harmless from all matters relating to the payment of Architect's Consultants and employees, including, but not limited to, compliance with social security, tax and similar withholdings and all other wages, salaries, benefits, taxes and regulations.

9.9.2 Consultants, Independent Contractors, et. al. Architect acknowledges that any Consultants, independent contractors, subcontractors, suppliers, agents or employees retained directly or indirectly by Architect shall not, under any circumstances, be considered employees of Owner or in privity of contract with Owner, but shall remain at all times as employees or independent contractors of Architect, and they shall not be entitled to any of the benefits or rights of Owner's that are afforded Owner's employees including, but not limited to, sick leave, vacation leave, holiday pay, benefits, or health, life, dental, long-term disability or workers' compensation insurance benefits. Architect shall maintain complete control of its employees and independent contractors and all of their operations, and means and methods for Services under this Agreement.

9.10 ARCHITECT NOT AGENT

Except as Owner has specified in this Agreement, Architect and its Consultants and other subcontractors shall have no authority, express or implied, to act on behalf of or bind Owner in any capacity whatsoever as agents, representatives or otherwise.



9.11 NO WAIVER OR ESTOPPEL

Owner's waiver of any term, condition, breach or default of this Agreement shall not be considered to be a waiver of any other term, condition, default or breach of this Agreement. Any approval, disapproval or omission to approve or disapprove the Services or charges by Owner shall not relieve or diminish Architect's responsibilities under this Agreement.

9.12 MAINTENANCE AND INSPECTION OF RECORDS

- 9.12.1 Owner, or its authorized auditors or representatives, shall have access to and the right to audit any of the records, Project Documents and accountancy records relating to the Project, and to reproduce any such records, Project Documents and accountancy records in connection with the performance of such audit.
- 9.12.2 Architect and its Consultants shall maintain and preserve all such records, Project Documents and accountancy records for a period of at least **ten (10) years** after Final Completion of the Project or termination of the Agreement.
- 9.12.3 Architect shall, upon request, promptly deliver the records to Owner, or shall reimburse Owner for all reasonable and extra costs incurred in conducting the audit at a location other than in Los Angeles, including, but not limited to, such additional (out of the City) expenses for personnel, salaries, private auditors, travel, lodging, meals and overhead.

9.13 LIMITATION OF LIABILITY

Except as covered by the insurance policies required hereunder, to the maximum extent permitted by law, in no event will either Party be responsible for any incidental damages, consequential damages, exemplary damages of any kind, lost goodwill, lost profits, lost business and/or any indirect economic damages whatsoever regardless of whether such damages arise from claims based upon contract, negligence, tort (including strict liability or other legal theory), a breach of any warranty or term of this Agreement, and regardless of whether a Party was advised or had reason to know of the possibility of incurring such damages in advance.

ARTICLE 10 – PAYMENTS TO ARCHITECT

10.1 PAYMENTS ON ACCOUNT OF BASIC SERVICES

- 10.1.1 Fee for Architect and Its Consultants. Owner shall make payments on a monthly basis for Services properly completed in accordance with the Schedule for Basic Compensation provided in Article 11. In order to receive payment, Architect shall present to Owner an itemized billing statement which indicates Services performed by Architect and its Consultants, the percentage of Services and/or Phase of Services completed, the method for computing the amount payable, and the amount to be paid. The invoice shall describe



the amount of Services provided and paid for since the initial commencement date through the date of the invoice, and any other information reasonably requested by Owner. If the basis of payment is a lump sum, payment shall be made on a percentage of completion basis for Services completed for a particular Phase of Services thereof. If the basis of payment is based on hourly billing rates, including, without limitation, in connection with the provision of Additional Services, the statement shall identify the individual performing Services, a brief description of the Services performed, the amount of time expended in hours and the hourly rate for such Services. Undisputed payments shall be made for Services performed; provided, however, that the amount paid to Architect shall never exceed the not-to-exceed amount, guaranteed maximum price or lump sum amount for the applicable line item. Owner shall within thirty (30) calendar days of receiving Architect's itemized statement, review the statement and pay all undisputed charges thereon.

10.1.2 **Hourly Rates.** Hourly rates for compensation in **Exhibit 4** include the direct salaries and wages of the personnel of Architects and its Consultants engaged on the Project and the portion of the cost of their mandatory and customary contributions and benefits related thereto, including, but not limited to, employment taxes and other statutory employee benefits, insuring sick leave, holidays, vacations and employee retirement plans, allocable to this Project, as well as overhead and profit. The hourly rates shall include all professional time and all clerical, administrative, overhead, insurance, reproduction, telephone, and transportation expenses. The hourly rates may be adjusted in accordance with the normal salary review practices of Architect and its Consultants but in no case shall the adjustment exceed three percent (3%) per annum in part or in aggregate.

10.1.3 **Reimbursable Expenses.** Architect shall, at its sole cost and expense, furnish all necessary and incidental labor, materials, supplies, facilities, equipment and transportation which may be required for furnishing Services pursuant to this Agreement within the Lump Sum amounts identified in Section 11.1. Architect shall be reimbursed for the following expenses at cost in addition to the Lump Sum amounts which are reasonably and necessarily incurred by Architect in the interest of performing the Services, provided Architect submits complete back-up documentation for actual costs with each invoice; these reimbursable costs shall not be subject to markup:

1. Expenses in connection with personnel travel authorized in advance in writing by Owner (excluding travel between Architect and its Consultants' offices) to and from governmental agencies, and travel to the area of the Project site; voice and data including FAX transmissions outside the 213, 310, 323, 626, 714, 818, 909, 949 & 951 area codes; fees paid for securing approvals of authorities having jurisdiction over the Project.

2. Reproduction, postage and handling of Project Documents.

3. Expenses of rendering, models and mock-ups not described as Basic Services in this Agreement or **Exhibit 1**.



4. Expenses of additional insurance coverage or limits, requested by Owner in excess of that indicated in Article 12.

Architect shall obtain Owner's prior written approval for reimbursement of: (a) expedited delivery charges not due to delay by Architect; (b) extraordinary or out-of-town travel expenses; (c) document reproduction costs in excess of \$500.00; (d) any other individual cost, fee or expense in excess of \$1,000.00; and (e) any other cost not specifically enumerated in clauses (1) through (4) above.

10.2 PAYMENTS ON ACCOUNT OF ADDITIONAL SERVICES

Procedures for payments for Additional Services may be made based on percentage completion of a lump sum amount or according to the hourly rates as set forth in **Exhibit 4** provided that, in any event, Additional Services shall be separately itemized on Architect's billing invoices to Owner. Architect expressly waives any right to payment for any Additional Services rendered if Architect does not give written notice of its claim that the services are Additional Services prior to rendering such services and if such services are not billed as Additional Services within thirty (30) calendar days following their rendition.

10.3 PAYMENTS WITHHELD

Owner may refuse to make payment (or because of subsequently discovered evidence or subsequent observations, Owner may nullify the whole or any part of any payment previously issued) to such extent as may be necessary to protect Owner from loss because of:

- .1 Owner claims arising from apparent acts, errors or omissions of Architect;
- .2 Failure of Architect to make payments properly to Consultants retained by Architect;
- .3 Reasonable evidence that the Services required by this Agreement will not be completed for the unpaid balance of the agreed upon compensation and Reimbursable Expenses set forth in Article 11 herein;
- .4 Persistent failure to carry out the services in accordance with this Agreement; and
- .5 Such other sums as Owner is entitled to recover from Architect.

The Owner shall not unreasonably withhold payment from Architect.



ARTICLE 11 -- COMPENSATION FOR SERVICES

11.1 BASIC COMPENSATION

For Basic Services, as described herein and in **Exhibit 1**, Basic Compensation shall be computed on the basis of the percentage of completion of Services for the Lump Sum amount of _____ Dollars (\$ _____). This Lump Sum amount shall not exceed the amounts set forth in the following Schedule for Basic Compensation for each line item:

Schedule for Basic Compensation.

<u>Phase</u>	<u>Dollar Amount</u>
1. Program Confirmation	\$ _____
2. Schematic Design	\$ _____
3. Design Development	\$ _____
4. Construction Documents	\$ _____
5. Agency Approvals	\$ _____
6. Bidding or Negotiation	\$ _____
7. Construction Administration	\$ _____
8. Project Closeout	\$ _____
Total Cost	\$ _____

The not to exceed amount for allowable reimbursable expenses is as follows:

_____ Dollars (\$ _____).

11.2 COMPENSATION FOR ADDITIONAL SERVICES

For Additional Services of Architect and its Consultants, compensation shall be computed on the basis of a lump sum amount or on hourly rates enumerated in **Exhibit 4**, (subject to agreement by Owner and Architect on a not-to-exceed amount, guaranteed maximum price or lump sum). To the extent expressly agreed upon by Owner and Architect in the amendment adding Additional Services, Architect and its Consultants shall also be compensated for allowable Reimbursable Expenses incurred during performance of Additional Services, subject to agreement by Owner and Architect on a not-to-exceed amount for such Reimbursable Expenses.



11.3 PROGRESS PAYMENTS

- 11.3.1 Progress Payments. Progress payments for undisputed amounts shall be made monthly for Services accepted by Owner. Architect shall submit detailed invoices to Owner on the first day of each month and Owner shall pay each approved invoice within **thirty (30) calendar days** after receipt of the statement. Architect may not bill more often than one invoice a month. If an invoice cannot be approved for payment as submitted, Owner shall notify Architect, in writing, within **fourteen (14) calendar days** of receipt of the invoice by setting forth the reasons for rejection. Invoices shall refer to this Agreement by the Project identified on the first page hereof, shall display the original Lump Sum Amount and shall include complete documentation of all charges. Authorized Reimbursable Expenses shall be indicated separately and shall be invoiced at their actual cost, with no markup, together with original receipts or other documentation to substantiate expenditures. Authorized Charges for Additional Services, if any, shall be indicated separately from charges for Basic Services.
- 11.3.2 First Progress Payment. Prior to the submission of Architect's first monthly progress billing, Architect shall submit for each of its Consultants a fee schedule, by phase and amount, matching the Schedule for Basic Compensation indicated in Section 11.1 for the Owner's written approval.
- 11.3.3 Monthly Compensation. Architect shall submit monthly progress billings against the agreed lump sum compensation and against the not to exceed allowable reimbursable expenses. Architect's lump sum compensation progress billings shall be billed on the basis of percent complete to date, subject to Owner's approval for each phase and amounts as indicated by Section 11.1. Lump sum compensation progress billing form shall include the agreed sum to date, previously billed amounts, current billing amount, percent complete and unbilled balance. Architect's billing form shall include a unique invoice number and Owner's Purchase Order number. Architect's allowable reimbursable expense billing shall be billed as a separate line item that tracks the agreed not to exceed amount, any approved changes to the not to exceed amount, previously billed amounts, current billing amount, total billed to date, and remaining unbalance. When Architect's Consultants and subconsultants are being compensated based on hourly rates and/or on a time and material basis, their invoices shall utilize the same format as described above.

11.4 FINAL PAYMENT

Final Payment to Architect of undisputed amounts consisting of any contract balances due shall be made **sixty (60) calendar days** after Architect's written demand provided Architect has completed the Services described in this Agreement to Owner's reasonable satisfaction, and has delivered to Owner the As-Built Drawings, Record Documents, and any other documentation reasonably required by Owner.



ARTICLE 12 – INSURANCE AND INDEMNITY

12.1 INSURANCE

- 12.1.1 Description of Coverage and Limits. Without limiting Architect's liability, Architect shall maintain in full force and effect at its sole expense and written by carriers reasonably acceptable to Owner, throughout the term of this Agreement and for at least ten (10) years after the date of issuance of the Final Certificate of Occupancy for the Project or termination of this Agreement, whichever is earlier, whether through terms or endorsements providing for an independent extended reporting period ("ERP") or through renewal or replacement coverage including prior acts coverage, with all such ERP's, renewals and replacement coverage, provided such coverage is available on commercially reasonable terms and is subject to Owner's reasonable approval, a Professional Liability insurance policy providing coverage for claims arising from performance of professional services by Architect and its employees. In addition, Architect shall procure and maintain at all times during performance of the Services insurance coverage of the types and in the minimum amounts as set forth in Section 12.1.2 below. Further, Architect shall require that all of Architect's Consultants carry and maintain insurance of the types and in the minimum amounts as set forth in Section 12.1.2 below. Architect shall provide evidence of insurance coverage carried by Architect's Consultants if so requested by Owner.
- 12.1.2 Limits of Coverage for Architect and its Consultants. Architect and its Consultants shall procure and maintain at all times during performance of the Services insurance coverage of the types and in the minimum amounts detailed below:
- .1 Worker's Compensation Insurance within statutory minimum limits and with Employers' Liability Insurance at a minimum limit of One Million Dollars (\$1,000,000);
 - .2 Commercial General Liability ("CGL") Insurance providing insurance over claims for damages because of bodily or mental injury or death, including personal injury, sickness, disease or death of any person and claims for damages because of injury to or destruction of property, including loss of use resulting therefrom, with minimum limits of One Million Dollars (\$1,000,000) per occurrence and Two Million Dollars (\$2,000,000) aggregate for coverage under this subparagraph;
 - .3 Comprehensive Automobile Liability Insurance, providing coverage for all owned, long-term leased, hired and non-owned automobiles in the minimum amount of One Million Dollars (\$1,000,000) combined single limit for bodily injury and for property damage;



- .4 Property Insurance covering the full replacement value of Consultant's property on and proximate to the Site including, but not limited to, all tools, equipment, trailers, machinery and related items;
- .5 Professional Liability Insurance providing insurance over claims for damages arising out of performance of professional services caused by negligence, errors, omissions or acts of Architect, its employees and Consultants, with a minimum limit per claim and annual aggregate per the insurance amount shown as follows (Owner may require project specific policies and different insurance amounts for Consultants if so indicated in Exhibit 1):

Approved Budget For Construction Cost	Professional Liability Insurance Minimum Limit (claim/aggregate)
\$ 1 – \$3,000,000	\$1,000,000/\$2,000,000
\$3,000,001 – \$99,999,999	\$2,000,000/\$2,000,000
\$100,000,000 and greater	\$5,000,000/\$5,000,000 or more at Owner's election as detailed in Exhibit 1, including possible project specific policies and different amounts for Consultants.

Commented [INSTRUCT3]: Highlighted words may be deleted for smaller projects

- .6 Such other insurance as Owner may reasonably require.

12.1.3 Deductible and Self-Insured Retentions. Any deductibles or self-insured retentions must be declared to and approved by Owner. At the option of Owner, either (a) the insurer shall reduce or eliminate such deductibles or self-insured retentions as respects to Architect, its officers, officials, and employees; or (b) Architect shall procure a bond guaranteeing payment of losses and related investigations, claim administration, and defense expenses. Architect shall be responsible for the policy deductible and self-insured retentions and Owner will not be asked to contribute to losses or expenses within the deductible or self-insured retention levels.

12.1.4 General Insurance Requirements.

1. General Liability and Automobile Liability Coverages:

A. The University of Southern California, its employees and agents are to be covered as Additional Insureds using the following two endorsements: ISO 2010 (07/04) and ISO 2037 (07/04), or their equivalent as approved by Owner in writing, and as respects to the following: liability arising out of activities performed by or on behalf of Architect; products and completed operations of



Architect; premises owned, occupied, or used by Architect; or automobiles owned, leased, hired, or borrowed by Architect. The coverage shall contain no special limitations on the scope of protection afforded to Owner, its officers, officials, employees or volunteers.

B. Architect's and Consultant's insurance coverage shall be primary insurance as respects any insurance provided by Owner, its officers, officials, employees, and volunteers. Any insurance or self-insurance maintained by Owner, its officers, officials, employees, or volunteers shall be in excess of Architect's and Consultants' insurance and shall not contribute with Architect's and Consultants' insurance.

C. Any failure to comply with reporting provisions of the policies shall not affect coverage provided to Owner, its officers, officials, employees, or volunteers.

D. Architect's insurance shall apply separately to each insured against whom claim is made or suit is brought, except with respect to the limits of the insurer's liability.

E. If Architect fails to purchase and maintain any insurance required hereunder, Owner may, but shall not be obligated to, upon five (5) days' written notice to Architect, purchase such insurance on behalf of Architect and shall be entitled to be reimbursed by Architect promptly upon demand or deduct the amount of such premiums from any amounts due under this Agreement.

2. All Coverages:

A. Each insurance policy required by this clause shall be endorsed to state that coverage shall not be suspended, voided, cancelled, or materially changed except after thirty (30) days' prior written notice has been given to Owner. Such provision shall appear in the Certificate of Insurance.

B. The foregoing requirements as to the types and limits of insurance coverage to be maintained by Architect, and any approval of said insurance by Owner or Owner's insurance consultant(s), are not intended to and shall not in any manner limit or qualify the liabilities and the obligations otherwise applicable to the provisions concerning indemnification.

C. The policies shall state that they afford primary coverage.



- 12.1.5 Acceptability of Insurers. Insurance is to be placed with insurers admitted in the State of California and rated "**A VIII**" or better by A.M. Best's Insurance Guide.
- 12.1.6 Verification of Insurance. Architect shall furnish Owner with certificates of insurance and endorsements effecting coverage required by this Agreement before commencing Services to Owner, at the anniversary dates of the policies, endorsements and certificate of insurance submittals and at any time when a material change in coverage, carriers or underwriters occurs. True and correct copies of the Architect's endorsements and certificate of insurance submittals shall be attached to **Exhibit 7**. The certificates and endorsements (1) shall be identified on their face with the name of the Project and the applicable contract number, (2) shall be signed by a person authorized by that insurer to bind coverage on its behalf and (3) shall be reviewed in Architect's office and approved by Owner before Services commences. As detailed above, Owner reserves the right to require Architect and Architect's Consultants to deliver to Owner within seven (7) calendar days after notice, complete, certified copies of all required insurance policies. The maintenance of all policies required herein in full current force and effect of such coverage shall be a condition precedent to Owner's obligation to pay Architect under this Agreement and Owner reserves the right to withhold payments to Architect in the event of non-compliance with any of the insurance requirements outlined above.

12.2 INDEMNITY

- 12.2.1 Architect agrees to indemnify and hold harmless, to the maximum extent permitted by law, Owner, its officers, employees, consultants, and their successors and assigns (collectively, "**Indemnitees**" and singularly, "**Indemnitee**"), from and against any and all liabilities, losses, breaches, liens, encumbrances, suits, claims, damages, costs, judgments and expenses, including reasonable attorney's fees and costs (collectively, "**Damages**"), to the extent such Damages arise out of, pertain to, or relate to the negligence, recklessness or willful misconduct of the Architect, its agents, employees, representatives, Consultants, or anyone for whose acts they may be liable (collectively, "**Architect's Team**"), in performing the Services under this Agreement. Although Architect's indemnification obligations under this Section 12.2.1 shall not give rise to a duty to defend any Indemnitee against a third party claim arising from those Damages described above, Architect shall have the obligation to reimburse each Indemnitee those attorneys' fees, court costs, expert fees and other defense costs (collectively, "**Defense Costs**") incurred by such Indemnitee with respect to any such claim; provided, however, in no event shall the Defense Costs charged to Architect for any such claim for Damages exceed Architect and the Architect's Team's collectively proportionate percentage of fault for such Damages as determined by an arbitrator or other trier of fact.
- 12.2.2 Architect's duty to indemnify includes, but is not limited to, personal injury and death, and property or other damage (including, but not limited to, economic loss, damage and liability arising from breach of contract, tort, patent, copyright, trade secret or trademark



infringement) sustained by any entity, person or persons, subject to the limitations set forth in Section 12.2.1 above.

- 12.2.3 This indemnity shall survive termination of this Agreement or final payment hereunder. This indemnity is in addition to any other rights or remedies which Owner may have under the law or under the Agreement. In the event of any claim or demand made against any Party or entity which is entitled to be indemnified hereunder, Owner may in its sole discretion reserve, retain or apply any moneys due Architect under the Agreement for the purpose of resolving such claims; provided, however, Owner may release such funds if Architect provides Owner with financial instruments, such as bonds or letters of credit, that provide material assurances to Owner that its interests are protected. Owner shall, in its sole discretion, determine whether such assurances are adequate and acceptable to Owner.

ARTICLE 13 – ENUMERATION OF CONTRACT DOCUMENTS

13.1 CONTRACT DOCUMENTS

This Agreement represents the entire and integrated agreement between Owner and Architect and supersedes all prior negotiations, representations or agreements, either written or oral. This Agreement may be amended or modified only by an amendment or other agreement signed by both Parties. All understandings between the Parties are incorporated into this Agreement and subsequent amendments. The terms of this Agreement are intended by the Parties as a final, complete and exclusive expression of their agreement with respect to its subject matter, and may not be contradicted by evidence of any prior agreement or contemporaneous oral agreement except for terms of subsequent amendments signed by the Parties.

The "**Contract Documents**," except for amendments issued after execution of this Agreement, consist of the following documents, all of which are either attached hereto as Exhibits or are incorporated into this Agreement by this reference, with the same force and effect as if these documents were set forth at length herein;

1. This Agreement, including the following exhibits and attachments:

- Exhibit 1** – Project Description and Scope of Services
- Exhibit 2** – Milestone Dates for Performance
- Exhibit 3** – Architect's Key Personnel and Consultants
- Exhibit 4** – Hourly Rates for Services
- Exhibit 5** – USC Standards and Guidelines
- Exhibit 6** – Substantial Completion and Close-Out Requirements
- Exhibit 7** – Insurance Certificates and Endorsements
- Exhibit 8** – Certificate Regarding Debarment
- Exhibit 9** – Certificate Regarding Lobbying



Exhibit 10 – University Policies:

Exhibit 11 – PMIS Requirements

Exhibit 12 – Trustee Affiliated Contractors

2. Architect's Proposal Documents, excluding any qualifications, conditions or terms inconsistent with the Agreement and Exhibits.
3. The Parties shall comply with and provide all of the documents required in the list of exhibits. If the Project is federally funded, Architect shall provide an executed Certificate Regarding Debarment as required in **Exhibit 8**; an executed Certificate Regarding Lobbying as required in **Exhibit 9**. Also, for all projects, Architect shall comply with all the University Policies as detailed in **Exhibit 10** and updated from time to time by Owner.

13.2 INTERPRETATION

- 13.2.1 Governing Law. This Agreement, and the rights and duties of the Parties hereunder (both procedural and substantive rights and duties), shall be governed by and construed according to the laws of the State of California.
- 13.2.2 Modifications to this Agreement. The terms and conditions of this Agreement (including, without limit, changes in the description of the Project, the scope of Services, the compensation and/or method of compensation to Architect) may be changed only by written amendment signed by Architect and an authorized representative of Owner. Any oral representations or modifications concerning this Agreement shall be of no force or effect.
- 13.2.3 Unenforceability. If any provision in this Agreement is held by any court of competent jurisdiction to be invalid, illegal, void or unenforceable, such portion shall be deemed severed from this Agreement, and the remaining provisions shall nevertheless continue in full force and effect as fully as though such invalid, illegal, or unenforceable portion had never been part of this Agreement.
- 13.2.4 No Construe in Favor Presumption. Both Owner and Architect have, with the assistance of their respective counsel, actively negotiated the terms and provisions contained in this Agreement. Therefore, Owner and Architect agree that this Agreement, Exhibits, and other Contract Documents, if any, shall not be construed in favor of or against any Party by virtue of the identity of its preparer.
- 13.2.5 California Architects Board. Architects are licensed and regulated by the California Architects Board located at 2420 Del Paso Road, Suite 105, Sacramento, CA 95834.

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SIGNATURES

Architect hereby represents and warrants to Owner that Architect has the right, power, legal capacity and authority to enter into and perform its obligations under this Agreement, and that signature and execution of this Agreement has been duly authorized.

ARCHITECT:

(a **STATE** Corporation)

OWNER:

UNIVERSITY OF SOUTHERN CALIFORNIA

(a California Non-Profit Corporation)

Signature
By: _____
Name
Its: _____
Title

California Architects License No. _____

Signature
By: _____
Name
Its: _____
Title

California Architects License No. _____

Federal Tax I.D. No. _____

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